

**JOCHU TECHNOLOGY CO., LTD. AND
SUBSIDIARIES
CONSOLIDATED FINANCIAL STATEMENTS AND
INDEPENDENT AUDITORS' REVIEW REPORT
SEPTEMBER 30, 2024 AND 2023**

For the convenience of readers and for information purpose only, the auditors' report and the accompanying financial statements have been translated into English from the original Chinese version prepared and used in the Republic of China. In the event of any discrepancy between the English version and the original Chinese version or any differences in the interpretation of the two versions, the Chinese-language auditors' report and financial statements shall prevail.

INDEPENDENT AUDITORS' REVIEW REPORT

To the Board of Directors and Shareholders of JOCHU TECHNOLOGY CO., LTD.

Introduction

We have reviewed the accompanying consolidated balance sheets of JOCHU TECHNOLOGY CO., LTD. and subsidiaries (the "Group") as at September 30, 2024 and 2023, and the related consolidated statements of comprehensive income for the three-month and nine-month periods then ended, as well as the consolidated statements of changes in equity and of cash flows for the nine-month periods then ended, and notes to the consolidated financial statements, including a summary of material accounting policies. Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and International Accounting Standard 34, "Interim Financial Reporting" that came into effect as endorsed by the Financial Supervisory Commission. Our responsibility is to express a conclusion on these consolidated financial statements based on our reviews.

Scope of Review

We conducted our reviews in accordance with the Standard on Review Engagements 2410, "Review of Financial Information Performed by the Independent Auditor of the Entity" of the Republic of China. A review of consolidated financial statements consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion

Based on our reviews, nothing has come to our attention that causes us to believe that the accompanying consolidated financial statements do not present fairly, in all material respects, the consolidated financial position of the Group as at September 30, 2024 and 2023, and of its consolidated financial performance for the three-month and nine-month periods then ended and its consolidated cash flows for the nine-month periods then ended in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and International Accounting Standard 34, "Interim Financial Reporting" that came into effect as endorsed by the Financial Supervisory Commission.

Liao, Fu-Ming

Lin, Yung-Chih

For and on Behalf of PricewaterhouseCoopers, Taiwan

November 12, 2024

The accompanying consolidated financial statements are not intended to present the financial position and results of operations and cash flows in accordance with accounting principles generally accepted in countries and jurisdictions other than the Republic of China. The standards, procedures and practices in the Republic of China governing the audit of such financial statements may differ from those generally accepted in countries and jurisdictions other than the Republic of China. Accordingly, the accompanying consolidated financial statements and independent auditors' report are not intended for use by those who are not informed about the accounting principles or auditing standards generally accepted in the Republic of China, and their applications in practice.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
SEPTEMBER 30, 2024, DECEMBER 31, 2023 AND SEPTEMBER 30, 2023

(In thousands of New Taiwan dollars)

(The consolidated balance sheets as of SEPTEMBER 30, 2024 and 2023 are reviewed, not audited)

Assets		Notes	September 30, 2024		December 31, 2023		September 30, 2023	
			AMOUNT	%	AMOUNT	%	AMOUNT	%
Current assets								
1100	Cash and cash equivalents	6(1)	\$ 1,033,625	24	\$ 1,223,585	28	\$ 1,492,716	32
1110	Financial assets at fair value	6(2)						
	through profit or loss - current		8,185	-	7,870	-	-	-
1136	Financial assets at amortised cost -	6(4) and 8						
	current		131,908	3	187,245	4	450	-
1150	Notes receivable, net	6(5)	22,256	-	31,977	1	15,887	-
1170	Accounts receivable, net	6(5)	1,096,963	26	1,131,766	26	1,260,378	27
1180	Accounts receivable - related	7						
	parties, net		2,256	-	1,654	-	390	-
1197	Finance lease receivable, net		1,734	-	1,614	-	-	-
1200	Other receivables	6(6)	126,313	3	88,667	2	111,687	3
1220	Current income tax assets		1,535	-	10,892	-	1,297	-
130X	Inventories	6(7)	240,113	6	200,485	5	217,740	5
1410	Prepayments		26,772	1	23,894	-	16,198	-
1470	Other current assets		45,603	1	38,499	1	44,413	1
11XX	Total current assets		<u>2,737,263</u>	<u>64</u>	<u>2,948,148</u>	<u>67</u>	<u>3,161,156</u>	<u>68</u>
Non-current assets								
1510	Financial assets at fair value	6(2)						
	through profit or loss- non-current		30,843	1	25,103	1	23,389	1
1517	Financial assets at fair value	6(3)						
	through other comprehensive							
	income - non-current		8,665	-	3,070	-	3,227	-
1535	Financial assets at amortized cost -	6(4) and 8						
	non-current		-	-	399	-	415	-
1600	Property, plant and equipment	6(9) and 8	1,184,511	28	1,101,577	25	1,129,835	24
1755	Right-of-use assets	6(10) and 7	125,337	3	131,615	3	122,538	3
1780	Intangible assets	6(11)	65,741	1	67,545	2	68,100	2
1840	Deferred income tax assets		43,654	1	42,635	1	49,252	1
1975	Net defined benefit asset - non-							
	current		10,292	-	10,206	-	10,102	-
1990	Other non-current assets	8	69,090	2	54,039	1	55,879	1
15XX	Total non-current assets		<u>1,538,133</u>	<u>36</u>	<u>1,436,189</u>	<u>33</u>	<u>1,462,737</u>	<u>32</u>
1XXX	Total assets		<u>\$ 4,275,396</u>	<u>100</u>	<u>\$ 4,384,337</u>	<u>100</u>	<u>\$ 4,623,893</u>	<u>100</u>

(Continued)

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
SEPTEMBER 30, 2024, DECEMBER 31, 2023 AND SEPTEMBER 30, 2023
(In thousands of New Taiwan dollars)

(The consolidated balance sheets as of SEPTEMBER 30, 2024 and 2023 are reviewed, not audited)

Liabilities and Equity		Notes	September 30, 2024		December 31, 2023		September 30, 2023	
			AMOUNT	%	AMOUNT	%	AMOUNT	%
Current liabilities								
2100	Short-term borrowings	6(12)	\$ 50,000	1	\$ 45,000	1	\$ 45,000	1
2120	Financial liabilities at fair value through profit or loss - current	6(2)	-	-	-	-	10,397	-
2130	Contract liabilities - current	6(21)	7,216	-	4,082	-	2,293	-
2170	Accounts payable	6(13)	584,506	14	485,963	11	534,281	12
2180	Accounts payable to related parties	7	-	-	1,061	-	-	-
2200	Other payables	6(14)	315,936	7	304,614	7	281,805	6
2220	Other payables to related parties	7	388	-	219	-	391	-
2230	Current income tax liabilities		6,516	-	9,423	-	67,296	1
2280	Lease liabilities - current	7	26,128	1	25,700	1	17,588	-
2320	Long-term borrowings - current	6(15)	50,000	1	57,633	1	166,565	4
2399	Other current liabilities		3,257	-	2,151	-	5,221	-
21XX	Total current liabilities		<u>1,043,947</u>	<u>24</u>	<u>935,846</u>	<u>21</u>	<u>1,130,837</u>	<u>24</u>
Non-current liabilities								
2540	Long-term borrowings	6(15)	162,500	4	200,000	5	267,911	6
2570	Deferred income tax liabilities		171,477	4	205,899	5	202,920	4
2580	Lease liabilities - non-current	7	22,581	1	29,297	1	24,834	1
2600	Other non-current liabilities		6,863	-	6,047	-	5,983	-
25XX	Total non-current liabilities		<u>363,421</u>	<u>9</u>	<u>441,243</u>	<u>11</u>	<u>501,648</u>	<u>11</u>
2XXX	Total liabilities		<u>1,407,368</u>	<u>33</u>	<u>1,377,089</u>	<u>32</u>	<u>1,632,485</u>	<u>35</u>
Equity								
Equity attributable to owners of the parent								
Share capital								
3110	Ordinary share	6(17)	892,631	21	892,631	20	892,631	19
Capital surplus								
3200	Capital surplus	6(18)	1,622,130	38	1,666,262	38	1,666,262	36
Retained earnings								
3310	Legal reserve	6(19)	151,775	4	143,906	3	143,906	3
3320	Special reserve		369,917	9	362,837	8	362,837	8
3350	(Accumulated deficit) unappropriated retained earnings		(71,633)	(2)	59,289	1	59,139	1
Other equity interest								
3400	Other equity interest	6(20)	(305,447)	(7)	(369,916)	(8)	(291,121)	(6)
3500	Treasury shares	6(17)	(25,619)	(1)	-	-	-	-
31XX	Equity attributable to owners of the parent		<u>2,633,754</u>	<u>62</u>	<u>2,755,009</u>	<u>62</u>	<u>2,833,654</u>	<u>61</u>
36XX	Non-controlling interests		<u>234,274</u>	<u>5</u>	<u>252,239</u>	<u>6</u>	<u>157,754</u>	<u>4</u>
3XXX	Total equity		<u>2,868,028</u>	<u>67</u>	<u>3,007,248</u>	<u>68</u>	<u>2,991,408</u>	<u>65</u>
Significant contingent liabilities and unrecognised contract commitments								
3X2X	Total liabilities and equity	9	<u>\$ 4,275,396</u>	<u>100</u>	<u>\$ 4,384,337</u>	<u>100</u>	<u>\$ 4,623,893</u>	<u>100</u>

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
NINE MONTHS ENDED SEPTEMBER 30, 2024 AND 2023
(In thousands of New Taiwan dollars except for (loss) earnings per share amount)
(UNAUDITED)

Items	Notes	Three months ended September 30				Nine months ended September 30			
		2024		2023		2024		2023	
		AMOUNT	%	AMOUNT	%	AMOUNT	%	AMOUNT	%
4000 Operating revenue	6(21) and 7	\$ 851,805	100	\$ 865,891	100	\$ 2,401,235	100	\$ 2,411,728	100
5000 Operating costs	6(7)(26)(27)	(755,491)	(89)	(691,302)	(80)	(2,079,283)	(87)	(1,970,601)	(82)
5900 Gross profit		<u>96,314</u>	<u>11</u>	<u>174,589</u>	<u>20</u>	<u>321,952</u>	<u>13</u>	<u>441,127</u>	<u>18</u>
Operating expenses	6(26)(27) and 7								
6100 Selling and marketing expenses		(37,436)	(4)	(36,137)	(4)	(108,333)	(5)	(87,210)	(3)
6200 General and administrative expenses		(85,088)	(10)	(87,206)	(10)	(243,276)	(10)	(239,248)	(10)
6300 Research and development expenses		(16,841)	(2)	(16,579)	(2)	(50,920)	(2)	(41,873)	(2)
6450 Impairment (loss) gain	12(2)	(1,350)	-	2,764	-	(5,716)	-	910	-
6000 Total operating expenses		(140,715)	(16)	(137,158)	(16)	(408,245)	(17)	(367,421)	(15)
6900 Net operating (loss) profit		(44,401)	(5)	37,431	4	(86,293)	(4)	73,706	3
Non-operating income and expenses									
7100 Interest income	6(22)	6,083	1	7,073	1	18,546	1	22,211	1
7010 Other income	6(23)	4,325	-	5,612	-	10,451	-	9,906	1
7020 Other gains and losses	6(24)	(7,556)	(1)	6,953	1	(2,742)	-	6,975	-
7050 Finance costs	6(25) and 7	(1,720)	-	(2,507)	-	(5,304)	-	(7,856)	-
7060 Share of loss of associates accounted for under equity method	6(8)	-	-	-	-	-	-	(1,757)	-
7000 Total non-operating income and expenses		<u>1,132</u>	<u>-</u>	<u>17,131</u>	<u>2</u>	<u>20,951</u>	<u>1</u>	<u>29,479</u>	<u>2</u>
7900 (Loss) profit before income tax		(43,269)	(5)	54,562	6	(65,342)	(3)	103,185	5
7950 Income tax (expense) benefit	6(28)	(8,748)	(1)	5,115	1	(28,165)	(1)	(41,522)	(2)
8200 (Loss) profit for the year		<u>(\$ 52,017)</u>	<u>(6)</u>	<u>\$ 59,677</u>	<u>7</u>	<u>(\$ 93,507)</u>	<u>(4)</u>	<u>\$ 61,663</u>	<u>3</u>
Other comprehensive income (loss)									
Components of other comprehensive income (loss) that will not be reclassified to profit or loss									
8316 Unrealized losses from investments in equity instruments measured at fair value through other comprehensive income	6(3)	\$ -	-	\$ -	-	\$ -	-	\$ 7,906	-
Components of other comprehensive income (loss) that will be reclassified to profit or loss									
8361 Financial statements translation differences of foreign operations		(23,189)	(3)	91,135	10	68,170	3	47,673	2
8300 Other comprehensive loss for the year		<u>(\$ 23,189)</u>	<u>(3)</u>	<u>\$ 91,135</u>	<u>10</u>	<u>\$ 68,170</u>	<u>3</u>	<u>\$ 55,579</u>	<u>2</u>
8500 Total comprehensive income (loss) for the year		<u>(\$ 75,206)</u>	<u>(9)</u>	<u>\$ 150,812</u>	<u>17</u>	<u>(\$ 25,337)</u>	<u>(1)</u>	<u>\$ 117,242</u>	<u>5</u>
(Loss) profit attributable to:									
8610 Owners of the parent		(\$ 44,126)	(5)	\$ 67,517	8	(\$ 71,841)	(3)	\$ 78,540	3
8620 Non-controlling interests		(7,891)	(1)	(7,840)	(1)	(21,666)	(1)	(16,877)	-
		<u>(\$ 52,017)</u>	<u>(6)</u>	<u>\$ 59,677</u>	<u>7</u>	<u>(\$ 93,507)</u>	<u>(4)</u>	<u>\$ 61,663</u>	<u>3</u>
Comprehensive income (loss) attributable to:									
8710 Owners of the parent		(\$ 63,074)	(8)	\$ 155,307	18	(\$ 7,372)	-	\$ 129,961	6
8720 Non-controlling interests		(12,132)	(1)	(4,495)	(1)	(17,965)	(1)	(12,719)	(1)
		<u>(\$ 75,206)</u>	<u>(9)</u>	<u>\$ 150,812</u>	<u>17</u>	<u>(\$ 25,337)</u>	<u>(1)</u>	<u>\$ 117,242</u>	<u>5</u>
(Loss) earnings per share (in dollars)									
9750 Basic (loss) earnings per share	6(29)	<u>(\$ 0.50)</u>		<u>\$ 0.76</u>		<u>(\$ 0.81)</u>		<u>\$ 0.88</u>	
9850 Diluted (loss) earnings per share		<u>(\$ 0.50)</u>		<u>\$ 0.75</u>		<u>(\$ 0.81)</u>		<u>\$ 0.88</u>	

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
FOR THE NINE MONTHS ENDED SEPTEMBER 30, 2024 AND 2023
(In thousands of New Taiwan dollars)
(UNAUDITED)

Equity attributable to owners of the parent												
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The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
FOR THE NINE MONTHS ENDED SEPTEMBER 30, 2024 AND 2023
(In thousands of New Taiwan dollars)
(UNAUDITED)

	Notes	Nine months ended September 30 2024	2023
<u>CASH FLOWS FROM OPERATING ACTIVITIES</u>			
Profit (loss) before tax		(\$ 65,342)	\$ 103,185
Adjustments			
Adjustments to reconcile profit (loss)			
Depreciation charges on property, plant, and equipment	6(9)(26)	107,487	102,638
Depreciation charges on right-of-use assets	6(10)(26)	23,150	22,802
Expected credit loss (gain)	12(2)	5,716 (	910)
Amortization charges	6(26)	10,000	7,377
Interest income	6(22) (	18,546) (	22,211)
Gain on disposal of associates accounted for under equity method	6(8)(24)	- (	3,542)
Gain on disposal of property, plant, and equipment	6(24) (	3,698) (	3,580)
Impairment loss recognized in profit or loss, property, plant and equipment	6(24)	2,263	-
Gain on lease modification	6(24)	- (	268)
Loss on financial assets and liabilities at fair value through profit or loss	6(2)(24)	17,773	24,930
Interest expense	6(25)	5,304	7,856
Share of loss of associates accounted for under equity method	6(8)	-	1,757
Changes in operating assets and liabilities			
Changes in operating assets			
Notes receivable, net		11,035	14,083
Accounts receivable, net		62,744 (	235,135)
Accounts receivable to related parties		88 (	390)
Other receivables	(	24,578)	7,930
Inventories	(	35,404)	40,119
Other current assets	(	18,869) (	21,169)
Net defined benefit asset-non-current	(	86) (	103)
Changes in operating liabilities			
Contract liabilities - current		3,134 (	894)
Accounts payable		84,758	45,566
Accounts payable to related parties	(	1,281) (	14)
Other payables		2,800	8,381
Other payables to related parties		160	133
Other current liabilities		1,094	1,790
Other non-current liabilities		635	641
Cash inflow generated from operations		170,337	100,972
Interest received		13,590	21,757
Interest paid	(	4,106) (	6,858)
Income tax paid	(	55,826) (	55,270)
Net cash flows from operating activities		123,995	60,601

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JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
FOR THE NINE MONTHS ENDED SEPTEMBER 30, 2024 AND 2023
(In thousands of New Taiwan dollars)
(UNAUDITED)

	<u>Notes</u>	<u>Nine months ended September 30</u>	
		<u>2024</u>	<u>2023</u>
<u>CASH FLOWS FROM INVESTING ACTIVITIES</u>			
Acquisition of financial assets at amortized cost		(\$ 270)	(\$ 17,656)
Proceeds from disposal of financial assets at amortized cost		60,578	71,131
Increase in financial assets at fair value through profit or loss		(23,653)	(28,579)
Acquisition of financial assets at fair value through other comprehensive income (loss)		(5,500)	-
Disposal of financial assets at fair value through other comprehensive income (loss)		-	7,906
The acquisition of subsidiaries (net of cash acquired)		-	(31,771)
Acquisition of property, plant, and equipment	6(31)	(141,870)	(131,217)
Disposal of property, plant, and equipment		9,585	4,648
(Increase) decrease in guarantee deposits paid		(718)	571
Increase in prepayments for equipment		(51,466)	(4,132)
Decrease in long-term finance lease receivable		1,803	-
Net cash flows used in investing activities		(151,511)	(129,099)
<u>CASH FLOWS FROM FINANCING ACTIVITIES</u>			
Proceeds from short-term borrowings		350,000	370,000
Repayments of short-term borrowings		(345,000)	(380,000)
Repayments of long-term borrowings	6(32)	(45,133)	(47,082)
Increase in guarantee deposits received	6(32)	161	-
Payments of lease liabilities	6(32)	(22,497)	(23,071)
Purchase of treasury shares	6(17)	(25,619)	-
Distribution of cash from capital surplus	6(18)	(44,132)	(62,484)
Cash dividends	6(19)	(44,132)	(26,779)
Net cash flows used in financing activities		(176,352)	(169,416)
Effect of exchange rate changes on cash and cash equivalents		13,908	18,712
Net decrease in cash and cash equivalents		(189,960)	(219,202)
Cash and cash equivalents at beginning of period		1,223,585	1,711,918
Cash and cash equivalents at end of period		<u>\$ 1,033,625</u>	<u>\$ 1,492,716</u>

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
FOR THE NINE MONTHS ENDED SEPTEMBER 30, 2024 AND 2023
(In thousands of New Taiwan dollars, except as otherwise indicated)
(UNAUDITED)

1. History and Organization

Jochu Technology Co., Ltd. (the “Company”) was incorporated in June 2000 under the provisions of the Company Act of the Republic of China (R.O.C.). The Company and its subsidiaries (the “Group”) are primarily engaged in manufacturing and selling of optoelectronic components, stamping molds, metal furniture, medical devices, and related international trading business. On April 17, 2006 and December 31, 2005, the Company merged with Yourui Precision Technology Co., Ltd. (“Yourui”) and Jingrong Machinery Co., Ltd. (“Jingrong”), respectively. The Company was the surviving company, while Yourui and Jingrong were the merged companies. The Company has been listed on the Taiwan Stock Exchange since April 2020.

2. The Date of Authorisation for Issuance of the Financial Statements and Procedures for Authorisation

These consolidated financial statements were authorized for issuance by the Board of Directors on November 12, 2024.

3. Application of New Standards, Amendments and Interpretations

(1) Effect of the adoption of new issuances of or amendments to International Financial Reporting Standards (“IFRS”) that came into effect as endorsed by the Financial Supervisory Commission (“FSC”)

New standards, interpretations and amendments endorsed by the FSC and became effective from 2024 are as follows:

<u>New Standards, Interpretations and Amendments</u>	<u>Effective date by International Accounting Standards Board</u>
Amendments to IFRS 16, ‘Lease liability in a sale and leaseback’	January 1, 2024
Amendments to IAS 1, ‘Classification of liabilities as current or noncurrent’	January 1, 2024
Amendments to IAS 1, ‘Non-current liabilities with covenants’	January 1, 2024
Amendments to IAS 7 and IFRS 7, ‘Supplier finance arrangements’	January 1, 2024

The above standards and interpretations have no significant impact to the Group’s financial condition and financial performance based on the Group’s assessment.

(2) Effect of new issuances of or amendments to IFRSs as endorsed by the FSC but not yet adopted by the Group

New standards, interpretations and amendments endorsed by the FSC and will become effective from 2025 are as follows:

<u>New Standards, Interpretations and Amendments</u>	<u>Effective date by IASB</u>
Amendments to IAS 21, 'Lack of exchangeability'	January 1, 2025

The above standards and interpretations have no significant impact to the Group's financial condition and financial performance based on the Group's assessment.

(3) IFRSs issued by International Accounting Standards Board ("IASB") but not yet endorsed by the FSC

New standards, interpretations and amendments issued by IASB but not yet included in the IFRSs as endorsed by the FSC are as follows:

<u>New Standards, Interpretations and Amendments</u>	<u>Effective date by IASB</u>
Amendments to IFRS 9 and IFRS 7, 'Amendments to the classification and measurement of financial Instruments'	January 1, 2026
Amendments to IFRS 10 and IAS 28, 'Sale or contribution of assets between an investor and its associate or joint venture'	To be determined by IASB
IFRS 17, 'Insurance contracts'	January 1, 2023
Amendments to IFRS 17, 'Insurance contracts'	January 1, 2023
Amendments to IFRS 17, 'Initial application of IFRS 17 and IFRS 9 – comparative information'	January 1, 2023
IFRS 18, 'Presentation and disclosure in financial statements'	January 1, 2027
IFRS 19, 'Subsidiaries without public accountability: disclosures'	January 1, 2027
Annual Improvements to IFRS Accounting Standards—Volume 11	January 1, 2026

Except for the following, the above standards and interpretations have no significant impact to the Group's financial condition and financial performance based on the Group's assessment.

IFRS 18, 'Presentation and disclosure in financial statements'

IFRS 18, 'Presentation and disclosure in financial statements' replaces IAS 1. The standard introduces a defined structure of the statement of profit or loss, disclosure requirements related to management-defined performance measures, and enhanced principles on aggregation and disaggregation which apply to the primary financial statements and notes.

4. Summary of Significant Accounting Policies

Except for the compliance statement, basis of preparation and basis of consolidation set out below, the rest of the significant accounting policies applied in the preparation of these consolidated financial statements are the same as those disclosed in Note 4 to the consolidated financial statements as of and for the year ended 2023. The policies have been consistently applied to all the periods presented, unless otherwise stated.

(1) Compliance statement

- A. These consolidated financial statements of the Group have been prepared in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and the International Accounting Standard 34, “Interim Financial Reporting” that came into effect as endorsed by the FSC.
- B. These consolidated financial statements are to be read in conjunction together with the consolidated financial statements for the year ended 2023.

(2) Basis of preparation

- A. Except for the following items, the consolidated financial statements have been prepared under the historical cost convention:
 - (a) Financial assets and financial liabilities (including derivative instruments) at fair value through profit or loss.
 - (b) Financial assets at fair value through other comprehensive income.
 - (c) Defined benefit assets recognized based on the net amount of pension fund assets less present value of defined benefit obligation.
- B. The preparation of financial statements in conformity with International Financial Reporting Standards, International Accounting Standards, IFRIC Interpretations, and SIC Interpretations that came into effect as endorsed by the FSC (collectively referred herein as the “IFRSs”) requires the use of certain critical accounting estimates. It also requires management to exercise its judgment in the process of applying the Group’s accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the consolidated financial statements are disclosed in Note 5.

(3) Basis of consolidation

- A. Basis for preparation of consolidated financial statements:

The basis for preparation of these consolidated financial statements is the same as that for the preparation of the consolidated financial statements for the year ended 2023.

B. Subsidiaries included in the consolidated financial statements:

Name of investor	Name of subsidiary	Main business activities	Ownership (%)			Description
			September 30, 2024	December 31, 2023	September 30, 2023	
The Company	JOCHU INVESTMENT LTD. (JOCHU BVI)	Investment holding	100%	100%	100%	
	LEGIUN TECHNOLOGY CO., LTD. (LEGIUN)	Sales of medical devices	100%	100%	100%	
	eBio International Co., Ltd. (eBio International)	Investment holding	52.02%	52.02%	52.02%	Note1
JOCHU BVI	SUZHOU JOCHU PRECISION METAL CO., LTD. (SUZHOU JOCHU)	Production and sales of optoelectronic components, stamping molds, and related international trading business	100%	100%	100%	
	JOCHU GLOBAL INVESTMENT (CAYMAN) LTD. (JOCHU GLOBAL)	Investment holding	100%	100%	100%	
JOCHU BVI	PROSPERITY INVESTMENT HOLDING PTE. LTD. (PIH)	Investment holding	65%	65%	65%	Note2

Name of investor	Name of subsidiary	Main business activities	Ownership (%)			Description
			September 30, 2024	December 31, 2023	September 30, 2023	
eBio International	eBio technology Inc.	Research and development, manufacturing of medical electronic devices, biomedical sensors, and integrated design services for healthcare systems.	100%	100%	100%	Note1
JOCHU GLOBAL	JOCHU INTERNATIONAL (CAYMAN) LTD. (JOCHU INTERNATIONAL)	Investment holding	100%	100%	100%	
JOCHU INTERNATIONAL	JOCHU TECHNOLOGY (XIAMEN) LTD. (XIAMEN JOCHU)	Investment holding	66.67%	66.67%	66.67%	
PIH	JOCHU TECHNOLOGY (VIETNAM) CO.,LTD (JOCHU VIETNAM)	Production and sales of optoelectronic components, stamping molds, and related international trading business	100%	100%	100%	Note3
SUZHOU JOCHU	XIAMEN JOCHU	Production and sales of optoelectronic components, stamping molds, and related international trading business	33.33%	33.33%	33.33%	

Note 1: On February 17, 2023, the Company's Board of Directors resolved to increase investment in eBio International. During the period from February to March of the fiscal year 2023, the Company purchased a portion of shares in eBio International Co., Ltd. for a cash amount of \$59,414, thereby participating in its cash increase plan. As a result, the Company's ownership stake in eBio International Co., Ltd. increased from 9.81% to 52.02%, granting control over the company.

Note 2: In October 2023, the Company resolved the capital injection in PIH amounting to US\$10,000 thousand, and the Company injected US\$6,500 thousand through JOCHU BVI. As a result, the Company's shareholding in PIH increased to 65%.

Note 3: In October 2023, the Company resolved the capital injection in JOCHU VIETNAM through JOCHU BVI and PIH amounting to US\$6,500 thousand. As a result, the Company's shareholding in JOCHU VIETNAM increased to 65%.

C. Subsidiaries not included in the consolidated financial statements: None.

D. Adjustments for subsidiaries with different balance sheet dates: None.

E. Significant restrictions: None.

F. Subsidiaries that have non-controlling interests that are material to the Group: None.

(4) Treasury shares

Where the Company repurchases the Company's equity share capital that has been issued, the consideration paid, including any directly attributable incremental costs (net of income taxes) is deducted from equity attributable to the Company's equity holders. Where such shares are subsequently reissued, the difference between their book value and any consideration received, net of any directly attributable incremental transaction costs and the related income tax effects, is included in equity attributable to the Company's equity holders.

(5) Employee benefits

Pension cost for the interim period is calculated on a year-to-date basis by using the pension cost rate derived from the actuarial valuation at the end of the prior financial year, adjusted for significant market fluctuations since that time and for significant curtailments, settlements, or other significant one-off events. Also, the related information is disclosed accordingly.

(6) Income tax

A. The interim period income tax expense is recognized based on the estimated average annual effective income tax rate expected for the full financial year applied to the pretax income of the interim period, and the related information is disclosed accordingly.

B. If a change in tax rate is enacted or substantively enacted in an interim period, the Group recognises the effect of the change immediately in the interim period in which the change occurs. The effect of the change on items recognised outside profit or loss is recognised in other comprehensive income or equity while the effect of the change on items recognised in profit or loss is recognised in profit or loss.

5. Critical Accounting Judgments, Estimates and Key Sources of Assumption Uncertainty

The additional disclosures are set out below. For the rest of the information, please refer to Note 5 in the consolidated financial statements for the year ended 2023.

6. Details of Significant Accounts

(1) Cash and cash equivalents

	<u>September 30, 2024</u>	<u>December 31, 2023</u>	<u>September 30, 2023</u>
Cash on hand and petty cash	\$ 440	\$ 420	\$ 557
Checking accounts and demand deposits	321,405	408,996	236,145
Time deposits	711,780	814,169	1,256,014
	<u>\$ 1,033,625</u>	<u>\$ 1,223,585</u>	<u>\$ 1,492,716</u>

A. The Group transacts with a variety of financial institutions all with high credit quality to disperse credit risk, so it expects that the probability of counterparty default is remote.

B. The Group has no cash and cash equivalents pledged to others.

(2) Financial assets and liabilities at fair value through profit or loss

	<u>September 30, 2024</u>	<u>December 31, 2023</u>	<u>September 30, 2023</u>
Current items:			
Financial assets mandatorily measured at fair value through profit or loss			
Forward foreign exchange contracts	<u>\$ 8,185</u>	<u>\$ 7,870</u>	<u>\$ -</u>
Non-current items:			
Financial assets mandatorily measured at fair value through profit or loss			
Private equity fund	\$ 30,000	\$ 21,000	\$ 21,000
Valuation adjustment	<u>843</u>	<u>4,103</u>	<u>2,389</u>
	<u>\$ 30,843</u>	<u>\$ 25,103</u>	<u>\$ 23,389</u>
Current items:			
Financial liabilities mandatorily measured at fair value through profit or loss			
Forward foreign exchange contracts	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 10,397</u>

A. Amounts recognized in profit or loss in relation to financial assets and liabilities at fair value through profit or loss are listed below:

		<u>Three months ended September 30,</u>	
		<u>2024</u>	<u>2023</u>
Financial assets and liabilities mandatorily measured at fair value through profit or loss			
Forward foreign exchange contracts	\$	5,098	(\$ 5,471)
Private equity fund	(	2,077)	609
	\$	<u>3,021</u>	<u>(\$ 4,862)</u>
		<u>Nine months ended September 30,</u>	
		<u>2024</u>	<u>2023</u>
Financial assets and liabilities mandatorily measured at fair value through profit or loss			
Forward foreign exchange contracts	(\$	14,513)	(\$ 26,859)
Private equity fund	(	3,260)	1,929
	(\$	<u>17,773)</u>	<u>(\$ 24,930)</u>

B. The Group entered into contracts relating to derivative financial assets which were not accounted for under hedge accounting. The information is listed below:

		<u>September 30, 2024</u>	
		Contract amount (notional principal)	
Derivative financial Instruments		(in thousands)	Maturity date
Current items:			
Forward foreign exchange contracts			
Sell USD Buy RMB	USD	11,720	2024.10.01~2025.04.28
Sell USD Buy NTD	USD	4,060	2024.10.11~2024.12.10
		<u>December 31, 2023</u>	
		Contract amount (notional principal)	
Derivative financial Instruments		(in thousands)	Maturity date
Current items:			
Forward foreign exchange contracts			
Sell USD Buy RMB	USD	13,100	2024.01.01~2024.07.30
Sell USD Buy NTD	USD	4,060	2024.01.10~2024.03.11

Derivative financial Instruments	September 30, 2023	
	Contract amount (notional principal)	
	(in thousands)	Maturity date

Current items:

Forward foreign exchange contracts

Sell USD Buy RMB USD 12,670 2023.10.01~2024.04.29

Sell USD Buy NTD USD 3,410 2023.10.06~2023.12.08

The Group entered into forward foreign exchange contracts to sell USD to hedge exchange rate fluctuations of foreign currency denominated assets and liabilities. However, these forward foreign exchange contracts are not accounted for under hedge accounting.

C. The Group had no financial assets at fair value through profit or loss pledged to others as collateral.

D. The Group transacts with a variety of financial institutions all with high credit quality to disperse credit risk, so it expects that the probability of counterparty default is remote.

(3) Financial assets at fair value through other comprehensive income (loss)

Items	September 30, 2024	December 31, 2023	September 30, 2023
Non-current items:			
Equity instruments			
Unlisted stocks			
W Company	\$ 3,165	\$ 3,070	\$ 3,227
Y Company	3,000	-	-
B Company	2,500	-	-
	<u>\$ 8,665</u>	<u>\$ 3,070</u>	<u>\$ 3,227</u>

A. The Group has elected to classify equity instruments that are considered to be strategic investments as financial assets at fair value through other comprehensive income. As at September 30, 2024, December 31, 2023 and September 30, 2023, the fair value of such investments were the same as the book value.

B. Amounts recognized in other comprehensive income in relation to the financial assets at fair value through other comprehensive income are listed below:

	Nine months ended September 30,	
	2024	2023
Equity instruments at fair value through other comprehensive income (loss)		
Fair value changes recognized in other comprehensive income	\$ -	\$ 7,906
Cumulative losses reclassified to retained earnings due to derecognition of financial assets	\$ -	\$ 20,294

C. The Group had no financial assets at fair value through other comprehensive income pledged to others as collateral.

(4) Financial assets at amortized cost

Items	September 30, 2024	December 31, 2023	September 30, 2023
Current items:			
Restricted assets	\$ 542	\$ 694	\$ 450
Time deposits with original maturity period of more than three months	<u>131,366</u>	<u>186,551</u>	<u>-</u>
	<u>\$ 131,908</u>	<u>\$ 187,245</u>	<u>\$ 450</u>
Non-current item:			
Restricted assets	<u>\$ -</u>	<u>\$ 399</u>	<u>\$ 415</u>

A. Amounts recognized in profit or loss in relation to financial assets at amortized cost are listed below:

	Three months ended September 30,	
	2024	2023
Interest income	<u>\$ 1,651</u>	<u>\$ 17</u>

	Nine months ended September 30,	
	2024	2023
Interest income	<u>\$ 5,756</u>	<u>\$ 371</u>

B. As at September 30, 2024, December 31, 2023 and September 30, 2023, without taking into account any collateral held or other credit enhancements, the maximum exposure to credit risk in respect of the amount that best represents the financial assets at amortized cost held by the Group was the book value at the balance sheet date.

C. Details of the Group's financial assets at amortized cost pledged to others as collateral are provided in Note 8.

D. The counterparties of the Group's investments in certificates of deposits are financial institutions with high credit quality, so the Group expects that the probability of counterparty default is remote.

(5) Notes and accounts receivable

	September 30, 2024	December 31, 2023	September 30, 2023
Notes receivable	<u>\$ 22,256</u>	<u>\$ 31,977</u>	<u>\$ 15,887</u>
Accounts receivable	<u>\$ 1,108,075</u>	<u>\$ 1,132,344</u>	<u>\$ 1,261,053</u>
Less: Allowance for uncollectible accounts	<u>(11,112)</u>	<u>(578)</u>	<u>(675)</u>
	<u>\$ 1,096,963</u>	<u>\$ 1,131,766</u>	<u>\$ 1,260,378</u>

A. As at September 30, 2024, December 31, 2023 and September 30, 2023, notes receivable and accounts receivable were all from contracts with customers. As at January 1, 2023, the balance of receivables from contracts with customers amounted to \$1,033,763.

B. The ageing analysis of notes receivable and accounts receivable is as follows:

	September 30, 2024	
	Notes receivable	Accounts receivable
Not past due	\$ 22,256	\$ 1,074,590
Up to 90 days	-	22,373
Over 91 days	-	11,112
	<u>\$ 22,256</u>	<u>\$ 1,108,075</u>

	December 31, 2023		September 30, 2023	
	Notes receivable	Accounts receivable	Notes receivable	Accounts receivable
Not past due	\$ 31,977	\$ 1,087,415	\$ 15,887	\$ 1,225,942
Up to 90 days	-	44,351	-	34,436
Over 91 days	-	578	-	675
	<u>\$ 31,977</u>	<u>\$ 1,132,344</u>	<u>\$ 15,887</u>	<u>\$ 1,261,053</u>

The above ageing analysis was based on past due date.

C. As at September 30, 2024, December 31, 2023 and September 30, 2023, without taking into account any collateral held or other credit enhancements, the maximum exposure to credit risk in respect of the amount that best represents the Group's notes and accounts receivable were the book value at the balance sheet date.

D. Information relating to credit risk of notes receivable and accounts receivable is provided in Note 12(2).

(6) Other receivables

	September 30, 2024	December 31, 2023	September 30, 2023
Receipts under custody - Molds	\$ 105,898	\$ 71,603	\$ 80,056
Molds receivable	2,566	19,285	14,470
Income tax refund receivable	8,921	-	6,173
Interest receivable	8,079	3,188	10,514
Others	<u>2,303</u>	<u>598</u>	<u>474</u>
	127,767	94,674	111,687
Less: Allowance for other receivables	(1,454)	(6,007)	-
	<u>\$ 126,313</u>	<u>\$ 88,667</u>	<u>\$ 111,687</u>

(7) Inventories

	<u>September 30, 2024</u>	<u>December 31, 2023</u>	<u>September 30, 2023</u>
Raw materials	\$ 93,708	\$ 87,455	\$ 88,624
Work in progress	79,768	47,541	51,004
Finished goods	<u>125,030</u>	<u>124,355</u>	<u>136,153</u>
	298,506	259,351	275,781
Less: Allowance for valuation loss	(58,393)	(58,866)	(58,041)
	<u>\$ 240,113</u>	<u>\$ 200,485</u>	<u>\$ 217,740</u>

The cost of inventories recognized as expense for the year:

	<u>Three months ended September 30,</u>	
	<u>2024</u>	<u>2023</u>
Cost of inventories sold	\$ 762,084	\$ 706,572
Loss on decline in market value	4,544	793
Loss on disposal of inventory	6,024	5,271
Revenue from sale of scraps	(17,161)	(21,334)
	<u>\$ 755,491</u>	<u>\$ 691,302</u>

	<u>Nine months ended September 30,</u>	
	<u>2024</u>	<u>2023</u>
Cost of inventories sold	\$ 2,116,122	\$ 2,017,926
Gain on decline in market value	(920)	(4,244)
Loss on disposal of inventory	19,014	14,615
Revenue from sale of scraps	(54,933)	(57,696)
	<u>\$ 2,079,283</u>	<u>\$ 1,970,601</u>

During the period from January 1 to September 30, 2024 and 2023, the Group realized recovery gains as a result of the sale and put into production of previously impaired and stagnant inventory.

(8) Investments accounted for under equity method

	<u>2024</u>		<u>2023</u>
At January 1	\$ -	\$	8,442
Disposal of investments accounted for under equity method	-	(	6,685)
Share of loss of investments accounted for under equity method	-	(	1,757)
At September 30	<u>\$ -</u>	<u>\$</u>	<u>-</u>

	<u>September 30, 2024</u>	<u>December 31, 2023</u>	<u>September 30, 2023</u>
Associate:			
eBio International	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>

During the period from February to March of the fiscal year 2023, the company purchased a portion of shares in eBio International Co., Ltd. for a cash amount of \$59,414, thereby participating in its cash increase plan. As a result, the company's ownership stake in eBio International Co., Ltd. increased from 9.81% to 52.02%, granting control over the company. In accordance with IFRS 3 "Business Combinations," the previously held equity interest in eBio International Co., Ltd. was remeasured at fair value as of the acquisition date, resulting in a disposal gain of \$3,542, which was recognized in profit and loss.

(9) Property, plant and equipment

	2024								
	Land	Buildings and structures	Machinery and equipment	Transportation equipment	Office equipment	Leasehold improvements	Other equipment	Construction in progress	Total
At January 1									
Cost	\$ 313,143	\$ 1,102,390	\$ 1,010,751	\$ 24,952	\$ 14,318	\$ 17,351	\$ 183,765	\$ 723	\$ 2,667,393
Accumulated depreciation	-	(534,877)	(803,275)	(19,171)	(12,694)	(12,733)	(154,183)	-	(1,536,933)
Accumulated impairment	-	(14,674)	(14,209)	-	-	-	-	-	(28,883)
	<u>\$ 313,143</u>	<u>\$ 552,839</u>	<u>\$ 193,267</u>	<u>\$ 5,781</u>	<u>\$ 1,624</u>	<u>\$ 4,618</u>	<u>\$ 29,582</u>	<u>\$ 723</u>	<u>\$ 1,101,577</u>
Opening net book amount as at January 1	\$ 313,143	\$ 552,839	\$ 193,267	\$ 5,781	\$ 1,624	\$ 4,618	\$ 29,582	\$ 723	\$ 1,101,577
Additions	-	12,207	85,863	2,417	741	2,414	14,171	25,205	143,018
Disposal	-	(1,347)	(4,540)	-	-	-	-	-	(5,887)
Depreciation charge	-	(40,566)	(48,093)	(1,928)	(774)	(1,331)	(14,795)	-	(107,487)
Impairment loss	-	-	(2,263)	-	-	-	-	-	(2,263)
Reclassifications	-	4,101	24,746	-	53	-	2,516	6,817	38,233
Net exchange differences	-	10,909	5,305	217	7	-	814	68	17,320
Closing net book amount as at September 30	<u>\$ 313,143</u>	<u>\$ 538,143</u>	<u>\$ 254,285</u>	<u>\$ 6,487</u>	<u>\$ 1,651</u>	<u>\$ 5,701</u>	<u>\$ 32,288</u>	<u>\$ 32,813</u>	<u>\$ 1,184,511</u>
At September 30									
Cost	\$ 313,143	\$ 1,136,946	\$ 1,084,867	\$ 24,759	\$ 14,005	\$ 19,765	\$ 188,380	\$ 32,813	\$ 2,814,678
Accumulated depreciation	-	(584,129)	(814,106)	(18,272)	(12,354)	(14,064)	(156,092)	-	(1,599,017)
Accumulated impairment	-	(14,674)	(16,476)	-	-	-	-	-	(31,150)
	<u>\$ 313,143</u>	<u>\$ 538,143</u>	<u>\$ 254,285</u>	<u>\$ 6,487</u>	<u>\$ 1,651</u>	<u>\$ 5,701</u>	<u>\$ 32,288</u>	<u>\$ 32,813</u>	<u>\$ 1,184,511</u>

2023									
	Land	Buildings and structures	Machinery and equipment	Transportation equipment	Office equipment	Leasehold improvements	Other equipment	Construction in progress	Total
At January 1									
Cost	\$ 313,143	\$ 903,115	\$ 995,083	\$ 21,269	\$ 11,823	\$ 14,404	\$ 160,450	\$ 188,108	\$ 2,607,395
Accumulated depreciation	- (	492,718)	(822,822)	(18,862)	(10,610)	(11,436)	(140,471)	-	(1,496,919)
Accumulated impairment	- (	14,674)	(14,947)	-	-	-	-	-	(29,621)
	<u>\$ 313,143</u>	<u>\$ 395,723</u>	<u>\$ 157,314</u>	<u>\$ 2,407</u>	<u>\$ 1,213</u>	<u>\$ 2,968</u>	<u>\$ 19,979</u>	<u>\$ 188,108</u>	<u>\$ 1,080,855</u>
Opening net book amount as at January 1	\$ 313,143	\$ 395,723	\$ 157,314	\$ 2,407	\$ 1,213	\$ 2,968	\$ 19,979	\$ 188,108	\$ 1,080,855
Additions	-	24,896	75,118	6,020	911	2,350	23,200	1,135	133,630
Acquisition of business combination	-	-	3,321	-	474	-	1,478	-	5,273
Transfer	-	180,222	8,343	-	-	-	-	(188,565)	-
Disposals	- (	41)	(868)	(159)	-	-	-	-	(1,068)
Depreciation charge	- (	39,245)	(48,304)	(1,613)	(845)	(920)	(11,711)	-	(102,638)
Reclassifications	-	-	635	-	-	-	-	-	635
Net exchange differences	-	8,382	3,671	131	4	-	471	489	13,148
Closing net book amount as at September 30	<u>\$ 313,143</u>	<u>\$ 569,937</u>	<u>\$ 199,230</u>	<u>\$ 6,786</u>	<u>\$ 1,757</u>	<u>\$ 4,398</u>	<u>\$ 33,417</u>	<u>\$ 1,167</u>	<u>\$ 1,129,835</u>
At September 30									
Cost	\$ 313,143	\$ 1,116,048	\$ 1,031,585	\$ 25,684	\$ 14,076	\$ 16,754	\$ 185,658	\$ 1,167	\$ 2,704,115
Accumulated depreciation	- (	531,437)	(818,142)	(18,898)	(12,319)	(12,356)	(152,241)	-	(1,545,393)
Accumulated impairment	- (	14,674)	(14,213)	-	-	-	-	-	(28,887)
	<u>\$ 313,143</u>	<u>\$ 569,937</u>	<u>\$ 199,230</u>	<u>\$ 6,786</u>	<u>\$ 1,757</u>	<u>\$ 4,398</u>	<u>\$ 33,417</u>	<u>\$ 1,167</u>	<u>\$ 1,129,835</u>

- A. Amount of borrowing costs capitalized as part of property, plant and equipment and the range of the interest rates for such capitalization: None.
- B. The significant components of buildings and structures include main plants and engineering systems, which are depreciated over 15~36 years and 5~25 years, respectively.
- C. The Group has recognized impairment losses of \$2,263 for the nine months ended September 30, 2024, due to the fact that the recoverable amount of certain property, plant and equipment used for the production of certain products, as part of a product transformation plan, is lower than their carrying amount.
- D. Information about the property, plant and equipment that were pledged to others as collateral is provided in Note 8.
- E. The amount of reclassifications for the nine months ended September 30, 2024 was reclassified from other non-current assets to property, plant and equipment.

(10) Leasing arrangements — lessee

- A. The Group leases various assets including land, buildings, business vehicles, and multifunction printers. Rental contracts for land are typically made for periods of 46 to 50 years, while the others are made for periods of 1 to 5 years. Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions. The lease agreements do not impose covenants, but leased assets may not be used as security for borrowing purposes.
- B. Short-term leases with a lease term of 12 months or less comprise leasing of warehouse, office, and business vehicles. Low-value assets comprise leasing of multifunction printers. The abovementioned leases were excluded from right-of-use assets.
- C. The carrying amount of right-of-use assets and the depreciation charge are as follows:

	Carrying amount		
	September 30, 2024	December 31, 2023	September 30, 2023
Land	\$ 72,410	\$ 72,088	\$ 75,484
Buildings	49,864	55,293	43,861
Business vehicles	3,063	4,234	3,193
	<u>\$ 125,337</u>	<u>\$ 131,615</u>	<u>\$ 122,538</u>

	Depreciation charge	
	Three months ended September 30,	
	2024	2023
Land	\$ 454	\$ 451
Buildings	6,236	6,421
Business vehicles	391	353
	<u>\$ 7,081</u>	<u>\$ 7,225</u>

	Depreciation charge			
	Nine months ended September 30,			
	2024		2023	
Land	\$	1,355	\$	1,331
Buildings		20,624		20,412
Business vehicles		1,171		1,059
	\$	23,150	\$	22,802

D. For the three months and nine months ended September 30, 2024 and 2023, the additions to right-of-use assets were \$0, \$5,828, \$14,356 and \$57,141, respectively.

E. The information on profit and loss accounts relating to lease contracts is as follows:

	Three months ended September 30,	
	2024	2023
Items affecting profit or loss		
Interest expense on lease liabilities	\$ 372	\$ 309
Expense on short-term lease contracts	2,685	2,963
Expense on leases of low-value assets	14	14
Expense on variable lease payments	167	150
Gain on lease modification	-	268
	Nine months ended September 30,	
	2024	2023
Items affecting profit or loss		
Interest expense on lease liabilities	\$ 1,221	\$ 978
Expense on short-term lease contracts	7,931	7,816
Expense on leases of low-value assets	44	42
Expense on variable lease payments	469	348
Gain on lease modification	-	268

F. For the three months and nine months ended September 30, 2024 and 2023, the Group's total cash outflow for leases were \$16,073, \$11,022, \$30,941 and \$31,277, respectively.

G. Variable lease payments

Some of the Group's lease contracts contain variable lease payment terms that are linked to distance and hours which were used. Various lease payments that depend on distance and hours are recognized in profit or loss in the period in which the event or condition that triggers those payments occurs.

(11) Intangible asset

		2024		
		Patent Right	Goodwill	Total
At January 1				
Cost	\$	24,100	\$ 45,247	\$ 69,347
Accumulated amortization	(	1,802)	-	(1,802)
	\$	<u>22,298</u>	<u>\$ 45,247</u>	<u>\$ 67,545</u>
At January 1		\$ 22,298	\$ 45,247	\$ 67,545
Amortization charge	(	1,804)	-	(1,804)
At September 30	\$	<u>20,494</u>	<u>\$ 45,247</u>	<u>\$ 65,741</u>
At September 30				
Cost	\$	24,100	\$ 45,247	\$ 69,347
Accumulated amortization	(	3,606)	-	(3,606)
	\$	<u>20,494</u>	<u>\$ 45,247</u>	<u>\$ 65,741</u>
		2023		
		Patent Right	Goodwill	Total
At January 1				
Cost	\$	-	\$ -	\$ -
Accumulated amortization		-	-	-
	\$	<u>-</u>	<u>\$ -</u>	<u>\$ -</u>
At January 1		\$ -	\$ -	\$ -
Additions		50	-	50
Acquired in a business combination		24,000	45,247	69,247
Amortization charge	(	1,197)	-	(1,197)
At September 30	\$	<u>22,853</u>	<u>\$ 45,247</u>	<u>\$ 68,100</u>
At September 30				
Cost	\$	24,050	\$ 45,247	\$ 69,297
Accumulated amortization	(	1,197)	-	(1,197)
	\$	<u>22,853</u>	<u>\$ 45,247</u>	<u>\$ 68,100</u>

A. The amounts recognized in amortization charge are listed below:

	<u>Three months ended</u> <u>September 30, 2024</u>	<u>Three months ended</u> <u>September 30, 2023</u>
General and administrative expenses	\$ <u>601</u>	\$ <u>1,193</u>
	<u>Nine months ended</u> <u>September 30, 2024</u>	<u>Nine months ended</u> <u>September 30, 2023</u>
General and administrative expenses	\$ <u>1,804</u>	\$ <u>1,197</u>

B. Amount of borrowing costs capitalized as part of intangible assets and the range of the interest rates for such capitalization: None.

C. Goodwill is allocated to the Group's cash-generating units identified by operating segments.

	<u>September 30, 2024</u>	<u>September 30, 2023</u>
Medical businesses	\$ <u>45,247</u>	\$ <u>45,247</u>

D. The recoverable amount is assessed based on value in use which is calculated using pre-tax cash flow forecasts from five-year financial budgets approved by management. The Group's recoverable amount calculated based on value in use exceeds the book value, so no impairment of goodwill has occurred. The key assumptions for the calculation of value in use, please refer to Note 6(10) in the consolidated financial statements for the year ended December 31, 2023.

E. The Group has no intangible assets pledged to others.

F. The information regarding the consideration paid for the acquisition of eBio International Group and recognition of goodwill, please refer to Note 6(30).

(12) Short-term borrowings

<u>Type of borrowings</u>	<u>September 30, 2024</u>	<u>Interest rate range</u>	<u>Collateral</u>
Bank borrowings			
Unsecured borrowings	\$ <u>50,000</u>	1.958%~2.706%	None

<u>Type of borrowings</u>	<u>December 31, 2023</u>	<u>Interest rate range</u>	<u>Collateral</u>
Bank borrowings			
Unsecured borrowings	\$ <u>45,000</u>	1.88%~2.015%	None

<u>Type of borrowings</u>	<u>September 30, 2023</u>	<u>Interest rate range</u>	<u>Collateral</u>
Bank borrowings			
Unsecured borrowings	\$ <u>45,000</u>	1.8%~2.015%	None

(13) Accounts payable

	<u>September 30, 2024</u>	<u>December 31, 2023</u>	<u>September 30, 2023</u>
Accounts payable	\$ <u>516,197</u>	\$ <u>421,454</u>	\$ <u>477,674</u>
Estimated accounts payable	<u>68,309</u>	<u>64,509</u>	<u>56,607</u>
	\$ <u>584,506</u>	\$ <u>485,963</u>	\$ <u>534,281</u>

(14) Other payables

	<u>September 30, 2024</u>	<u>December 31, 2023</u>	<u>September 30, 2023</u>
Salaries and bonus payable	\$ 95,749	\$ 100,009	\$ 87,217
Insurance payable	75,126	71,251	69,954
Mold cost payable	45,452	43,125	32,535
Equipment payable	12,507	11,381	10,721
Repairs and maintenance payable	10,997	14,422	13,141
Packing payable	7,005	2,380	1,991
Freights charges payable	5,213	3,664	5,185
Consumption fee payable	3,683	3,416	2,948
Construction payable	649	627	-
Employees' compensation and directors' remuneration payable	-	6,526	8,881
Others	59,555	47,813	49,232
	<u>\$ 315,936</u>	<u>\$ 304,614</u>	<u>\$ 281,805</u>

(15) Long-term borrowings

<u>Type of borrowings</u>	<u>Borrowing period and repayment term</u>	<u>Interest rate range</u>	<u>Collateral</u>	<u>September 30, 2024</u>
Installment-repayment borrowings				
Secured borrowings	Borrowing period is from December 28, 2021 to December 28, 2028; interest is payable monthly.	1.97%	Please refer to Note 8	\$ 212,500
Less: Current portion				(50,000)
				<u>\$ 162,500</u>

<u>Type of borrowings</u>	<u>Borrowing period and repayment term</u>	<u>Interest rate range</u>	<u>Collateral</u>	<u>December 31, 2023</u>
Installment-repayment borrowings				
Secured borrowings	Borrowing period is from December 28, 2021 to December 28, 2028; interest is payable monthly.	1.85%	Please refer to Note 8	\$ 250,000
Unsecured borrowings	Borrowing period is from May 26, 2020 to July 1, 2025; interest is payable monthly.	2.595%	None	7,633
				<u>257,633</u>
Less: Current portion				(57,633)
				<u>\$ 200,000</u>

<u>Type of borrowings</u>	<u>Borrowing period and repayment term</u>	<u>Interest rate range</u>	<u>Collateral</u>	<u>September 30, 2023</u>
Installment-repayment borrowings				
Secured borrowings	Borrowing period is from June 24, 2020 to December 28, 2028; interest is payable monthly.	1.85%~2.13%	Please refer to Note 8	\$ 367,600
Unsecured borrowings	Borrowing period is from May 26, 2020 to March 1, 2028; interest is payable monthly.	1.83%~2.595%	None	66,876
				<u>434,476</u>
Less: Current portion				<u>(166,565)</u>
				<u>\$ 267,911</u>

(16) Pensions

A. Defined benefit pension plan

- (a) The Company has a defined benefit pension plan in accordance with the Labor Standards Law, covering all regular employees' service years prior to the enforcement of the Labor Pension Act on July 1, 2005 and service years thereafter of employees who chose to continue to be subject to the pension mechanism under the Law. Under the defined benefit pension plan, two units are accrued for each year of service for the first 15 years and one unit for each additional year thereafter, subject to a maximum of 45 units. Pension benefits are based on the number of units accrued and the average monthly salaries and wages of the last 6 months prior to retirement. The Company contributes monthly an amount equal to 2% of the employees' monthly salaries and wages to the retirement fund deposited with Bank of Taiwan, the trustee, under the name of the independent retirement fund committee. Also, the Company would assess the balance in the aforementioned labor pension reserve account by the end of December 31, every year. If the account balance is insufficient to pay the pension calculated by the aforementioned method to the employees expected to qualify for retirement in the following year, the Company will make contributions for the deficit by next March.
- (b) For the aforementioned pension plan, the Group recognized pension costs of (\$29), (\$34), (\$86) and (\$103) for the three months and nine months ended September 30, 2024 and 2023, respectively.
- (c) The Company has acquired the approval from the Hsinchu County Government to suspend continuous contribution to the defined benefit pension plan for 2024 and 2023.
- (d) The Company has a long-term employee benefits plan, under which employees are rewarded with a bonus, a certificate of appreciation, or a trophy upon completing every five years of service. For the employee benefits plan, the Company recognised pension costs of \$212, \$214,

\$635 and \$641 for the three months and nine months ended September 30, 2024 and 2023, respectively.

B. Defined contribution pension plan

- (a) Effective July 1, 2005, the Company and its domestic subsidiaries have established a defined contribution pension plan (the “New Plan”) under the Labor Pension Act (the “Act”), covering all regular employees with R.O.C. nationality. Under the New Plan, the Company and its domestic subsidiaries contribute monthly an amount based on 6% of the employees’ monthly salaries and wages to the employees’ individual pension accounts at the Bureau of Labor Insurance. The benefits accrued are paid monthly or in lump sum upon termination of employment.
- (b) The Company’s mainland China subsidiaries have a defined contribution plan. Monthly contributions to an independent fund administered by the government in accordance with the pension regulations in the People’s Republic of China (PRC) are based on certain percentage of employees’ monthly salaries and wages. The contribution for each employee was planned by PRC government. Other than the monthly contributions, the Group has no further obligations.
- (c) The pension costs under the defined contribution pension plans of the Group for the three months and nine months ended September 30, 2024 and 2023 were \$8,966, \$7,368, \$25,563 and \$22,828, respectively.

(17) Share capital

- A. As of September 30, 2024, the Company’s authorized capital was \$2,000,000, consisting of 200,000 thousand shares of ordinary stock, and the paid-in capital was \$892,631 with a par value of \$10 (in dollars) per share. All proceeds from shares issued have been collected.

Movements in the number of the Company’s ordinary shares in thousands outstanding are as follows:

	<u>2024</u>	<u>2023</u>
At January 1	89,263	89,263
Treasury stock buyback	(<u>1,000</u>)	<u>-</u>
At September 30	<u><u>88,263</u></u>	<u><u>89,263</u></u>

B. Treasury Shares

- (a) The Company's Board of Directors approved a share buyback program on December 22, 2023 to repurchase 1,000 thousand shares during the period from December 25, 2023 to February 23, 2024. The repurchase price range is between NT\$16.65 and NT\$35.35 per share. Details are summarized below:

		September 30, 2024	
<u>Name of company holding the shares</u>	<u>Reason for reacquisition</u>	<u>Number of shares (In thousands)</u>	<u>Carrying amount</u>
The Company	To be reissued to employees	1,000	\$ 25,619

		December 31, 2023	
<u>Name of company holding the shares</u>	<u>Reason for reacquisition</u>	<u>Number of shares (In thousands)</u>	<u>Carrying amount</u>
The Company	To be reissued to employees	-	\$ -

- (b) Pursuant to the R.O.C. Securities and Exchange Act, the number of shares bought back as treasury share should not exceed 10% of the number of the Company's issued and outstanding shares and the amount bought back should not exceed the sum of retained earnings, paid-in capital in excess of par value and realized capital surplus.
- (c) Pursuant to the R.O.C. Securities and Exchange Act, treasury shares should not be pledged as collateral and is not entitled to dividends before it is reissued.
- (d) Pursuant to the R.O.C. Securities and Exchange Act, treasury shares should be reissued to the employees within five years from the reacquisition date and shares not reissued within the five-year period are to be retired. Treasury shares to enhance the Company's credit rating and the stockholders' equity should be retired within six months of acquisition.

(18) Capital surplus

	September 30, 2024	December 31, 2023	September 30, 2023
Share premium	\$ 1,505,856	\$ 1,549,988	\$ 1,549,988
From business combinations	31,797	31,797	31,797
Treasury share transactions	76,571	76,571	76,571
Changes in ownership interests in subsidiaries	<u>7,906</u>	<u>7,906</u>	<u>7,906</u>
	<u>\$ 1,622,130</u>	<u>\$ 1,666,262</u>	<u>\$ 1,666,262</u>

- A. Pursuant to the R.O.C. Company Act, capital surplus arising from paid-in capital in excess of par value on issuance of common stocks and donations can be used to cover accumulated deficit or to issue new stocks or cash to shareholders in proportion to their share ownership, provided that the Company has no accumulated deficit. Further, the R.O.C. Securities and Exchange Act requires that the amount of capital surplus to be capitalized mentioned above should not exceed 10% of the paid-in capital each year. Capital surplus should not be used to cover accumulated deficit unless the legal reserve is insufficient.

- B. On April 11, 2023, the company's board of directors resolved a cash distribution of \$62,484 from the capital surplus (\$0.7 per share).
- C. On April 9, 2024, the company's board of directors resolved a cash distribution of \$44,132 from the capital surplus (\$0.5 per share).

(19) Retained earnings

- A. Under the Company's Articles of Incorporation, the current year's earnings, if any, shall first be used to pay all taxes and offset prior years' operating losses, set aside 10% of the remaining amount as legal reserve, then set aside or reverse a special reserve according to relevant regulations when necessary. The remainder, if any, to be retained or to be appropriated shall be proposed by the Board of Directors and resolved by the shareholders at the shareholders' meeting. The Board of Directors is authorized to distribute all or part of the dividends and bonuses, capital surplus or legal reserve that should be distributed in cash by a resolution approved by more than half of the directors present at a meeting with the presence of more than two-thirds of the directors. Such provisions does not require approval by the shareholders.
- B. The Company's dividend policy is summarized below: as the Company is in the stable growth stage, the residual dividend policy is adopted taking into consideration the Company's future capital expenditure plans and the financial structure. According to the dividend policy adopted by the Board of Directors, at least 1% of the Company's distributable earnings as of the end of the period shall be appropriated as cash or stock dividends, of which not more than 60% shall be paid in stock.
- C. Except for covering accumulated deficit or issuing new stocks or cash to shareholders in proportion to their share ownership, the legal reserve shall not be used for any other purpose. The use of legal reserve for the issuance of stocks or cash to shareholders in proportion to their share ownership is permitted, provided that the distribution of the reserve is limited to the portion in excess of 25% of the Company's paid-in capital.
- D. (a) In accordance with the regulations, the Company shall set aside special reserve from the debit balance on other equity items at the balance sheet date before distributing earnings. When debit balance on other equity items is reversed subsequently, the reversed amount could be included in the distributable earnings.
(b) The amounts previously set aside by the Company as special reserve on initial application of IFRSs in accordance with Order No. Financial-Supervisory-Securities-Corporate-1010012865, dated April 6, 2012, shall be reversed proportionately when the relevant assets are used, disposed of or reclassified subsequently.

E. Appropriation of earnings

- (a) The appropriations of 2022 earnings had been resolved at the annual shareholders' meeting on May 26, 2023. Details are summarized below:

	2022	
	Amount	Dividends per share (in dollars)
Reversal of Special reserve	(\$ 60,457)	
Cash dividends	26,779	\$ 0.30

- (b) The appropriations of 2023 earnings had been resolved at the annual shareholders' meeting on May 24, 2024. Details are summarized below:

	2023	
	Amount	Dividends per share (in dollars)
Legal reserve	\$ 7,869	
Special reserve	7,080	
Cash dividends	44,132	\$ 0.50

(20) Other equity items

	2024		
	Unrealized gains (losses) on valuation	Currency translation	Total
At January 1	\$ -	(\$ 369,916)	(\$ 369,916)
Currency translation differences:			
–Group	-	64,469	64,469
At September 30	<u>\$ -</u>	<u>(\$ 305,447)</u>	<u>(\$ 305,447)</u>

	2023		
	Unrealized gains (losses) on valuation	Currency translation	Total
At January 1	(\$ 28,200)	(\$ 334,636)	(\$ 362,836)
Revaluation	7,906	-	7,906
Disposal of financial assets at fair value through other comprehensive income (loss)			
– equity instruments	20,294	-	20,294
Currency translation differences:			
–Group	-	43,515	43,515
At September 30	<u>\$ -</u>	<u>(\$ 291,121)</u>	<u>(\$ 291,121)</u>

(21) Operating revenue

	<u>Three months ended September 30,</u>	
	<u>2024</u>	<u>2023</u>
Revenue from contracts with customers	<u>\$ 851,805</u>	<u>\$ 865,891</u>
	<u>Nine months ended September 30,</u>	
	<u>2024</u>	<u>2023</u>
Revenue from contracts with customers	<u>\$ 2,401,235</u>	<u>\$ 2,411,728</u>

A. Disaggregation of revenue from contracts with customers

The Group derives revenue from the transfer of goods at a point in time in the following geographical regions:

<u>Three months ended September 30, 2024</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Total segment revenue	\$ 301,198	\$ 565,743	\$ 866,941
Inter-segment revenue	(50)	(15,086)	(15,136)
Revenue from external customer contracts	<u>\$ 301,148</u>	<u>\$ 550,657</u>	<u>\$ 851,805</u>

<u>Three months ended September 30, 2023</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Total segment revenue	\$ 309,748	\$ 570,553	\$ 880,301
Inter-segment revenue	(5,017)	(9,393)	(14,410)
Revenue from external customer contracts	<u>\$ 304,731</u>	<u>\$ 561,160</u>	<u>\$ 865,891</u>

<u>Nine months ended September 30, 2024</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Total segment revenue	\$ 810,825	\$ 1,627,573	\$ 2,438,398
Inter-segment revenue	(4,129)	(33,034)	(37,163)
Revenue from external customer contracts	<u>\$ 806,696</u>	<u>\$ 1,594,539</u>	<u>\$ 2,401,235</u>

<u>Nine months ended September 30, 2023</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Total segment revenue	\$ 829,608	\$ 1,606,923	\$ 2,436,531
Inter-segment revenue	(7,292)	(17,511)	(24,803)
Revenue from external customer contracts	<u>\$ 822,316</u>	<u>\$ 1,589,412</u>	<u>\$ 2,411,728</u>

B. Contract liabilities

(a) The Group has recognized the following revenue-related contract liabilities:

	<u>September 30, 2024</u>	<u>December 31, 2023</u>	<u>September 30, 2023</u>	<u>January 1, 2023</u>
Contract liabilities:	\$ <u>7,216</u>	\$ <u>4,082</u>	\$ <u>2,293</u>	\$ <u>3,187</u>

(b) Revenue recognized that was included in the contract liability balance at the beginning of the year is summarized below:

	<u>Three months ended September 30,</u>	
	<u>2024</u>	<u>2023</u>
Revenue recognized	\$ <u>-</u>	\$ <u>-</u>
	<u>Nine months ended September 30,</u>	
	<u>2024</u>	<u>2023</u>
Revenue recognized	\$ <u>442</u>	\$ <u>187</u>

(22) Interest income

	<u>Three months ended September 30,</u>	
	<u>2024</u>	<u>2023</u>
Interest income from bank deposits	\$ 4,420	\$ 7,043
Interest income from financial assets at amortized cost	1,651	17
Other interest income	12	13
	<u>\$ 6,083</u>	<u>\$ 7,073</u>
	<u>Nine months ended September 30,</u>	
	<u>2024</u>	<u>2023</u>
Interest income from bank deposits	\$ 12,742	\$ 21,798
Interest income from financial assets at amortized cost	5,756	371
Other interest income	48	42
	<u>\$ 18,546</u>	<u>\$ 22,211</u>

(23) Other income

	<u>Three months ended September 30,</u>	
	<u>2024</u>	<u>2023</u>
Subsidy income	\$ 1,618	\$ 226
Molds revenue	91	-
Solar revenue	592	620
Other income	2,024	4,766
	<u>\$ 4,325</u>	<u>\$ 5,612</u>

	Nine months ended September 30,	
	2024	2023
Subsidy income	\$ 2,995	\$ 947
Molds revenue	1,081	-
Solar revenue	1,544	1,663
Other income	4,831	7,296
	<u>\$ 10,451</u>	<u>\$ 9,906</u>

(24) Other gains and losses

	Three months ended September 30,	
	2024	2023
Gain on disposal of property, plant and equipment	\$ 1,808	\$ 138
Gain on lease modification	-	268
Foreign exchange (losses) gains	(11,557)	10,972
Gain (loss) on financial assets and liabilities at fair value through profit or loss	3,021 (	4,862)
Miscellaneous disbursements	(828)	437
	<u>(\$ 7,556)</u>	<u>\$ 6,953</u>

	Nine months ended September 30,	
	2024	2023
Gain on disposal of associates accounted for under equity method	\$ -	\$ 3,542
Gain on disposal of property, plant and equipment	3,698	3,580
Gain on lease modification	-	268
Impairment loss recognized in profit or loss, property, plant and equipment	(2,263)	-
Foreign exchange gains	14,984	24,932
Loss on financial assets and liabilities at fair value through profit or loss	(17,773) (	24,930)
Miscellaneous disbursements	(1,388) (	417)
	<u>(\$ 2,742)</u>	<u>\$ 6,975</u>

(25) Finance costs

	Three months ended September 30,	
	2024	2023
Interest expense from bank borrowings	\$ 1,348	\$ 2,198
Interest expense from lease liabilities	372	309
	<u>\$ 1,720</u>	<u>\$ 2,507</u>

	Nine months ended September 30,	
	2024	2023
Interest expense from bank borrowings	\$ 4,083	\$ 6,878
Interest expense from lease liabilities	1,221	978
	<u>\$ 5,304</u>	<u>\$ 7,856</u>

(26) Expenses by nature

	Three months ended September 30,	
	2024	2023
Employee benefit expense	\$ 210,098	\$ 198,335
Depreciation charges on property, plant and equipment	36,234	37,629
Depreciation charges on right-of-use assets	7,081	7,225
Amortization charges on intangible asset	601	1,193
Amortization charges on molds	1,883	1,334

	Nine months ended September 30,	
	2024	2023
Employee benefit expense	\$ 608,827	\$ 558,884
Depreciation charges on property, plant and equipment	107,487	102,638
Depreciation charges on right-of-use assets	23,150	22,802
Amortization charges on intangible asset	1,804	1,197
Amortization charges on molds	8,196	6,180

(27) Employee benefit expense

	Three months ended September 30,	
	2024	2023
Wages and salaries	\$ 175,816	\$ 169,520
Labour and health insurance fees	14,314	11,564
Pension costs	9,149	7,548
Other personnel expenses	10,819	9,703
	<u>\$ 210,098</u>	<u>\$ 198,335</u>

	Nine months ended September 30,	
	2024	2023
Wages and salaries	\$ 511,121	\$ 471,853
Labour and health insurance fees	40,791	34,561
Pension costs	26,112	23,366
Other personnel expenses	30,803	29,104
	<u>\$ 608,827</u>	<u>\$ 558,884</u>

- A. In accordance with the Articles of Incorporation of the Company, a ratio of profit before tax, before the distribution of employees' compensation and directors' remuneration, of the current year, after covering accumulated losses, shall be distributed as employees' compensation and directors' remuneration. The ratio shall not be lower than 8% for employees' compensation and shall not be higher than 3% for directors' remuneration. Employees' compensation may be paid in the form of shares or in cash, and employees from affiliated companies who meet certain conditions are entitled to the distribution.
- B. (a) For the three months and nine months ended September 30, 2024, the Company had a net loss before income tax, therefore, the Company did not accrue employees' compensation and directors' remuneration at the end of reporting period.
- (b) For the three months and nine months ended September 30, 2023, employees' compensation were accrued at \$5,264 and \$6,831; directors' remuneration were accrued at \$1,578 and \$2,050. The aforementioned amounts were recognized in salary expenses.
- (c) Employees' compensation and directors' remuneration for 2023 as resolved by the Board of Directors were in agreement with the amounts recognized in the 2023 financial statements.
- (d) Information about employees' compensation and directors' remuneration of the Company as resolved at the meeting of Board of Directors will be posted in the "Market Observation Post System" at the website of the Taiwan Stock Exchange.

(28) Income tax

A. Components of income tax expense

	<u>Three months ended September 30,</u>	
	<u>2024</u>	<u>2023</u>
Current tax:		
Current tax for the period	\$ 5,213	\$ 65,229
Prior year income tax under (over) estimation	<u>30</u>	<u>(657)</u>
Total current tax	<u>5,243</u>	<u>64,572</u>
Deferred tax:		
Origination and reversal of temporary differences	<u>3,505</u>	<u>(69,687)</u>
Income tax expense (benefit)	<u>\$ 8,748</u>	<u>(\$ 5,115)</u>
	<u>Nine months ended September 30,</u>	
	<u>2024</u>	<u>2023</u>
Current tax:		
Current tax for the period	\$ 55,545	\$ 124,209
Prior year income tax under estimation	<u>8,060</u>	<u>6,156</u>
Total current tax	<u>63,605</u>	<u>130,365</u>
Deferred tax:		
Origination and reversal of temporary differences	<u>(35,440)</u>	<u>(88,843)</u>
Income tax expense	<u>\$ 28,165</u>	<u>\$ 41,522</u>

- B. The Company's income tax returns through 2021 have been assessed and approved by the Tax Authority.

C. LEGIUN's income tax returns through 2023 have been assessed and approved by the Tax Authority.

D. The eBio International's and eBio technology Inc.'s income tax returns through 2022 have been assessed and approved by the Tax Authority.

(29) Earnings (loss) per share

<u>Three months ended September 30, 2024</u>			
	<u>Loss for the period</u>	<u>Weighted average number of ordinary shares outstanding (shares in thousands)</u>	<u>Loss per share (in dollars)</u>
<u>Basic and diluted loss per share</u>			
Loss attributable to the parent	(\$ 44,126)	88,263	(\$ 0.50)
<u>Three months ended September 30, 2023</u>			
	<u>Profit for the period</u>	<u>Weighted average number of ordinary shares outstanding (shares in thousands)</u>	<u>Profit per share (in dollars)</u>
<u>Basic earnings per share</u>			
Profit attributable to the parent	\$ 67,517	89,263	\$ 0.76
<u>Diluted earnings per share</u>			
Profit attributable to the parent	\$ 67,517	89,263	
Assumed conversion of all dilutive potential ordinary shares			
-Employees' compensation	-	331	
	<u>\$ 67,517</u>	<u>89,594</u>	<u>\$ 0.75</u>
<u>Nine months ended September 30, 2024</u>			
	<u>Loss for the period</u>	<u>Weighted average number of ordinary shares outstanding (shares in thousands)</u>	<u>Loss per share (in dollars)</u>
<u>Basic and diluted loss per share</u>			
Loss attributable to the parent	(\$ 71,841)	88,321	(\$ 0.81)
<u>Nine months ended September 30, 2024</u>			
	<u>Profit for the period</u>	<u>Weighted average number of ordinary shares outstanding (shares in thousands)</u>	<u>Profit per share (in dollars)</u>
<u>Basic and diluted loss per share</u>			
Profit attributable to the parent	\$ 78,540	89,263	\$ 0.88
<u>Diluted earnings per share</u>			
Profit attributable to the parent	\$ 78,540	89,263	
Assumed conversion of all dilutive potential ordinary shares			
-Employees' compensation	-	331	
	<u>\$ 78,540</u>	<u>89,594</u>	<u>\$ 0.88</u>

(30) Business Combination

- A. During the period from February to March of the fiscal year 2023, the company purchased a portion of shares in eBio International Co., Ltd. for a cash amount of \$59,414, thereby participating in its cash increase plan. As a result, the company's ownership stake in eBio International Co., Ltd. increased from 9.81% to 52.02%, granting control over the company. The eBio International Group operates medical businesses in Taiwan, including a pressure ulcer prevention system. The company expects that this acquisition will enhance its position in these markets and lead to cost reduction through economies of scale.
- B. The information regarding the consideration paid for the acquisition of eBio International Group, the assets acquired, and the liabilities assumed at the fair value as of the acquisition date, as well as the information on non-controlling interests' share in the identifiable net assets as of the acquisition date, is as follows:

	<u>March 20, 2023</u>
The consideration received	
Cash	\$ 25,850
The fair value of the equity previously held in eBio International on the acquisition date	43,791
The non-controlling interest's proportion of the identifiable net assets of the acquiree	<u>22,500</u>
	<u>\$ 92,141</u>
The fair value of identifiable assets acquired and liabilities assumed	
Cash and cash equivalents	27,643
Notes and accounts receivable, net	67
Inventories	2,669
Prepayments	3,475
Residual tax credit	1,690
Prepaid expenses and temporary payments	692
Other receivables	27
Property, plant and equipment	5,273
Right-of-use assets	6,484
Intangible assets	24,000
Guarantee deposits paid	309
Deferred income tax assets	86
Long-term borrowings(including current portion)	(12,558)
Accounts payable	(12)
Accrued payroll	(739)
Other accrued expenses payable	(865)
Other current liabilities	(66)
Lease liabilities	(6,484)
Deferred income tax liabilities	<u>(4,797)</u>
Identifiable net assets	<u>46,894</u>
Goodwill	<u>\$ 45,247</u>

- C. On August 4, 2023, the Company obtained a valuation report and retrospectively adjusted the fair values of identifiable assets and liabilities acquired on the acquisition date. According to the

valuation report, adjustments were made to the fair values as follows: the fair value of inventories was adjusted from \$3,023 to \$2,669, the fair value of property, plant, and equipment was adjusted from \$5,260 to \$5,273, the fair value of intangible assets was adjusted from \$105 to \$24,000, the fair value of deferred tax assets was adjusted from \$0 to \$86, and the fair value of deferred tax liabilities was adjusted from \$0 to (\$4,797). Other than these adjustments, there were no differences. Goodwill was adjusted from \$55,049 to \$45,247.

D. The Company held a 9.81% equity interest in eBio International Co., Ltd. prior to the business combination, which was remeasured at fair value resulting in a realized gain of \$3,542, please refer to Note 6(8) for details.

E. Since the merger with eBio International Co., Ltd. on March 20, 2023, and eBio International Co., Ltd. contributed operating revenue of \$2,360 and a pre-tax net loss of (\$22,185). However, if we assume that eBio International had been included in the consolidation since January 1, 2023, the Group's operating revenue and pre-tax net income would have amounted to \$3,252,406 and \$94,721, respectively.

(31) Supplemental cash flow information

A. Investing activities with partial cash payments:

	<u>Nine months ended September 30,</u>	
	<u>2024</u>	<u>2023</u>
Purchase of property, plant and equipment	\$ 143,018	\$ 133,630
Add: Opening balance of payable on equipment	11,381	8,308
Opening balance of payable on construction	627	-
Less: Ending balance of payable on equipment	(12,507)	(10,721)
Ending balance of payable on construction	(649)	-
Cash paid during the year	<u>\$ 141,870</u>	<u>\$ 131,217</u>

(32) Changes in liabilities from financing activities

	<u>2024</u>				
	<u>Short-term borrowings</u>	<u>Long-term borrowings</u>	<u>Lease liabilities</u>	<u>Guarantee deposit received</u>	<u>Total</u>
At January 1	\$ 45,000	\$ 257,633	\$ 54,997	\$ 1,192	\$ 358,822
Changes in cash flow from financing activities	5,000	(45,133)	(22,497)	161	(62,469)
Changes in other non-cash items	-	-	15,577	-	15,577
Impact of changes in foreign exchange rate	-	-	632	17	649
At September 30	<u>\$ 50,000</u>	<u>\$ 212,500</u>	<u>\$ 48,709</u>	<u>\$ 1,370</u>	<u>\$ 312,579</u>

	2023				
	Short-term	Long-term	Lease	Guarantee	
	<u>borrowings</u>	<u>borrowings</u>	<u>liabilities</u>	<u>deposit</u>	<u>Total</u>
At January 1	\$ 55,000	\$ 469,000	\$ 10,088	\$ 905	\$ 534,993
Changes in cash flow from financing activities	(10,000)	(47,082)	(23,071)	-	(80,153)
Changes in other non-cash items	-	-	48,916	-	48,916
Changes in acquired in a business combination	-	12,558	6,484	-	19,042
Impact of changes in foreign exchange rate	-	-	5	2	7
At September 30	<u>\$ 45,000</u>	<u>\$ 434,476</u>	<u>\$ 42,422</u>	<u>\$ 907</u>	<u>\$ 522,805</u>

7. Related Party Transactions

(1) Names of related parties and relationship

<u>Names of related parties</u>	<u>Relationship with the Group</u>
eBio Technology Inc.(Note)	Other related party
Shin Zu Shing Co., Ltd.	Other related party

Note : The consolidated entity included in the Group since March 20, 2023.

(2) Significant related party transactions

A. Operating revenue:

	<u>Three months ended September 30,</u>	
	<u>2024</u>	<u>2023</u>
Sales of goods:		
Other related parties	<u>\$ 2,210</u>	<u>\$ 333</u>
	<u>Nine months ended September 30,</u>	
	<u>2024</u>	<u>2023</u>
Sales of goods:		
Other related parties	<u>\$ 4,738</u>	<u>\$ 333</u>

There is no significant difference between the sales price and credit terms from non-related parties.

B. Acquisition of financial assets

During March 2023, the Company participated in the cash increase of eBio International Co., Ltd. Please refer to Note 6(30) for further details

C. Lease transactions-lessee

(a) The Company leases a property from Shin Zu Shing Co., Ltd., with a lease term from January 1, 2023, to December 31, 2023. The monthly rental, management fees, and other expenses advanced by related parties are paid on a monthly basis. The lease agreement includes a priority right of renewal. Based on our medium-term operational planning period of 3 years, the right-of-use asset acquired amounts to \$44,436. The amount does not exceed the price assessed according to the “Regulations Governing the Acquisition and Disposal of Assets by Public Companies”, which is \$46,657.

(b) On December 22, 2023, by resolution of the Board of Directors, the Company has decided to re-sign the building lease agreement with Shin Zu Shing Co., Ltd. The lease period is from January 1, 2024 to December 31, 2026, and the Company will have the preferential lease right upon expiration. The right-of-use assets increased by \$14,356. Increased to book value \$43,980. The amount does not exceed the price assessed according to the “Regulations Governing the Acquisition and Disposal of Assets by Public Companies”, which is \$46,401.

(c) Right-of-use assets

A. Carrying amount

	<u>September 30, 2024</u>	<u>December 31, 2023</u>	<u>September 30, 2023</u>
Shin Zu Shing Co., Ltd.	\$ <u>32,984</u>	\$ <u>29,624</u>	\$ <u>33,327</u>

B. Depreciation charge

	<u>Three months ended September 30,</u>	
	<u>2024</u>	<u>2023</u>
Shin Zu Shing Co., Ltd.	\$ <u>3,666</u>	\$ <u>3,703</u>
	<u>Nine months ended September 30,</u>	
	<u>2024</u>	<u>2023</u>
Shin Zu Shing Co., Ltd.	\$ <u>10,996</u>	\$ <u>11,109</u>

(d) Lease liabilities

A. Carrying amount

	<u>September 30, 2024</u>	<u>December 31, 2023</u>	<u>September 30, 2023</u>
Shin Zu Shing Co., Ltd.	\$ <u>33,366</u>	\$ <u>29,836</u>	\$ <u>33,506</u>

B. Interest expense

	<u>Three months ended September 30,</u>	
	<u>2024</u>	<u>2023</u>
Shin Zu Shing Co., Ltd.	\$ <u>161</u>	\$ <u>130</u>
	<u>Nine months ended September 30,</u>	
	<u>2024</u>	<u>2023</u>
Shin Zu Shing Co., Ltd.	\$ <u>532</u>	\$ <u>428</u>

(e) Rent expense, administration expense and reimbursed expense

		Three months ended September 30,	
		2024	2023
Shin Zu Shing Co., Ltd.	\$	940	\$ 1,291
		Nine months ended September 30,	
		2024	2023
Shin Zu Shing Co., Ltd.	\$	2,267	\$ 2,512

D. Receivable from related parties

	September 30, 2024	December 31, 2023	September 30, 2023
Accounts receivable:	\$ 2,256	\$ 1,654	\$ 390
Other related parties			

E. Payables to related parties

	September 30, 2024	December 31, 2023	September 30, 2023
Accounts payable:	\$ -	\$ 1,061	\$ -
Other related parties			
Other payables:	\$ 388	\$ 219	\$ 391
Other related parties			

(3) Key management compensation

		Three months ended September 30,	
		2024	2023
Short-term employee benefits	\$	4,701	\$ 7,719
Post-employment benefits		123	144
	\$	4,824	\$ 7,863
		Nine months ended September 30,	
		2024	2023
Short-term employee benefits	\$	14,867	\$ 17,587
Post-employment benefits		429	438
	\$	15,296	\$ 18,025

8. Pledged Assets

The Group's assets pledged as collateral are as follows:

<u>Pledged asset</u>	<u>Book value</u>			<u>Purpose</u>
	<u>September 30, 2024</u>	<u>December 31, 2023</u>	<u>September 30, 2023</u>	
Financial assets at amortized cost - current	\$ 542	\$ 694	\$ 450	Bank secured borrowings and customs guarantee
Financial assets at amortized cost - non-current	-	399	415	Contract bond
Property, plant, and equipment				
Land	273,059	273,059	273,059	Bank secured borrowings
Buildings and structures	138,964	145,920	148,238	Bank secured borrowings
Other non-current assets				
Guarantee deposits paid	9,519	8,642	7,619	Rental deposit

9. Significant Contingent Liabilities and Unrecognized Contract Commitments

Commitments

As of September 30, 2024, the Group had opened unused letters of credit for importing inventories and equipment of \$716.

10. Significant Disaster Loss

None.

11. Significant Events after the Balance Sheet Date

None.

12. Others

(1) Capital management

The current period did not involve significant transactions or material changes, please refer to Note 12 of the consolidated financial statements for the year ended December 31, 2023.

(2) Financial instruments

A. Financial instruments by category

	<u>September 30, 2024</u>	<u>December 31, 2023</u>	<u>September 30, 2023</u>
<u>Financial assets</u>			
Financial assets mandatorily measured \$ at fair value through profit or loss (current and non-current)	39,028	\$ 32,973	\$ 23,389
Financial assets at fair value through other comprehensive income	8,665	3,070	3,227
Financial assets at amortized cost			
Cash and cash equivalents	1,033,625	1,223,585	1,492,716
Financial assets at amortized cost (current and non-current)	131,908	187,644	865
Notes receivable, net	22,256	31,977	15,887
Accounts receivable, net	1,096,963	1,131,766	1,260,378
Accounts receivable-related party	2,256	1,654	390
Other receivables	126,313	88,667	111,687
Finance lease receivable, net (current and non-current)	1,734	3,296	-
Guarantee deposits paid	9,519	8,642	7,619
	<u>\$ 2,472,267</u>	<u>\$ 2,713,274</u>	<u>\$ 2,916,158</u>
<u>Financial liabilities</u>			
Financial liabilities mandatorily measured at fair value through profit or loss	\$ -	\$ -	\$ 10,397
Financial liabilities at amortized cost			
Short-term borrowings	50,000	45,000	45,000
Accounts payable	584,506	485,963	534,281
Accounts payable-related party	-	1,061	-
Other payables	315,936	304,614	281,805
Other payables-related party	388	219	391
Long-term borrowings (including current portion)	212,500	257,633	434,476
Guarantee deposits received	1,370	1,192	907
	<u>\$ 1,164,700</u>	<u>\$ 1,095,682</u>	<u>\$ 1,307,257</u>
Lease liabilities (current and non-current)	<u>\$ 48,709</u>	<u>\$ 54,997</u>	<u>\$ 42,422</u>

B. Financial risk management policies

The current period did not involve significant transactions or material changes, please refer to Note 12 of the consolidated financial statements for the year ended December 31, 2023.

C. Significant financial risks and degrees of financial risks

(a) Market risk

Foreign exchange risk

- i. The Group engages in sales and purchases denominated in foreign currencies and are exposed to exchange rate fluctuations. The Group manages exchange rate risks within the scope permitted by the policy, using forward foreign exchange contracts to manage risks.
- ii. The Group's businesses involve some non-functional currency operations (the Company's and domestic subsidiaries' functional currency: NTD; other certain subsidiaries' functional currency: RMB, USD, and VND). The information on assets and liabilities denominated in foreign currencies whose values would be materially affected by the exchange rate fluctuations is as follows:

	September 30, 2024		
	Foreign currency amount		Book value
	(In thousands)	Exchange rate	(NTD)
(Foreign currency: functional currency)			
<u>Financial assets</u>			
<u>Monetary items</u>			
USD:NTD	\$ 6,662	31.6500	\$ 210,852
USD:RMB	14,163	7.1049	448,259
USD:VND	3,530	24,093	111,725
<u>Financial liabilities</u>			
<u>Monetary items</u>			
USD:NTD	\$ 648	31.6500	\$ 20,509
USD:RMB	2,569	7.1049	81,309
USD:VND	804	24,093	25,447

December 31, 2023			
(Foreign currency: functional currency)	Foreign currency amount		Book value
	(In thousands)	Exchange rate	(NTD)
<u>Financial assets</u>			
<u>Monetary items</u>			
USD:NTD	\$ 13,201	30.7050	\$ 405,337
USD:RMB	14,057	7.0827	431,620
USD:VND	4,274	23,866	131,233
<u>Financial liabilities</u>			
<u>Monetary items</u>			
USD:NTD	\$ 622	30.7050	\$ 19,099
USD:RMB	2,257	7.0827	69,301
USD:VND	129	23,866	3,961
September 30, 2023			
(Foreign currency: functional currency)	Foreign currency amount		Book value
	(In thousands)	Exchange rate	(NTD)
<u>Financial assets</u>			
<u>Monetary items</u>			
USD:NTD	\$ 13,113	32.2700	\$ 423,157
USD:RMB	15,878	7.1798	512,383
USD:VND	273	24,089	8,810
<u>Financial liabilities</u>			
<u>Monetary items</u>			
USD:NTD	\$ 255	32.2700	\$ 8,229
USD:RMB	3,234	7.1798	104,361
USD:VND	128	24,089	4,131

- iii. Total exchange gains, including realized and unrealized, arising from significant foreign exchange variation on the monetary items held by the Group for the three months and nine months ended September 30, 2024 and 2023, amounted to (\$11,557)、\$10,972、\$14,984 and \$24,932 respectively.

iv. Analysis of foreign currency market risk arising from significant foreign exchange variation:

Nine months ended September 30, 2024				
Sensitivity analysis				
	Degree of variation	Effect on profit or loss	Effect on other comprehensive income	
(Foreign currency: functional currency)				
<u>Financial assets</u>				
<u>Monetary items</u>				
USD:NTD	1%	\$ 2,109	\$	-
USD:RMB	1%	4,483		-
USD:VND	1%	1,117		-
<u>Financial liabilities</u>				
<u>Monetary items</u>				
USD:NTD	1%	\$ 205	\$	-
USD:RMB	1%	813		-
USD:VND	1%	254		-

Nine months ended September 30, 2023				
Sensitivity analysis				
	Degree of variation	Effect on profit or loss	Effect on other comprehensive income	
(Foreign currency: functional currency)				
<u>Financial assets</u>				
<u>Monetary items</u>				
USD:NTD	1%	\$ 4,232	\$	-
USD:RMB	1%	5,124		-
USD:VND	1%	88		-
<u>Financial liabilities</u>				
<u>Monetary items</u>				
USD:NTD	1%	\$ 82	\$	-
USD:RMB	1%	1,044		-
USD:VND	1%	41		-

Cash flow and fair value interest rate risk

- i. The Group's main interest rate risk arises from long-term borrowings with variable rates, which expose the Group to cash flow interest rate risk. For the nine months ended September 30, 2024 and 2023, the Group's borrowings at variable rate were mainly denominated in New Taiwan dollars.

- ii. If the borrowing interest rate of New Taiwan dollars had increased/decreased by 4 basis points with all other variables held constant, profit, net of tax for the nine months ended September 30, 2024 and 2023 would have increased/decreased by \$ 1,700 and \$ 3,476, respectively. The main factor is that changes in interest expense result from floating rate borrowings.

(b) Credit risk

- i. Credit risk refers to the risk that a counterparty will default on its contractual obligations resulting in financial loss to the Group. As at the end of the reporting period, the Group's maximum exposure to credit risk which will cause a financial loss to the Group due to default by the counterparties and financial guarantees provided by the Group arises from:
 - (i) The carrying amount of the respective recognized financial assets as stated in the balance sheets;
 - (ii) The amount of contingent liabilities in relation to financial guarantee issued by the Group.
- ii. In order to mitigate the credit risk, the Group will conduct credit rating for the transaction object and obtain sufficient security if necessary to mitigate the risk of financial loss due to default. If such information is not available, the Group will use other publicly available financial information and mutual transaction records to rate key customers. The Group will continue to monitor the credit risk and the credit rating of the counterparty through the determination of the credit line and the approval of the credit line. In addition, the Group reviews the recoverable amounts of receivables individually at the balance sheet date to ensure that appropriate impairment losses have been provided for unrecoverable receivables. Accordingly, the Group's management believes that the Group's credit risk has been significantly reduced.
- iii. The Group adopts the following assumption under IFRS 9 to assess whether there has been a significant increase in credit risk on that instrument since initial recognition: If the contract payments were past due over 90 days based on the terms, there has been a significant increase in credit risk on that instrument since initial recognition.
- iv. In line with credit risk management procedure, when there is evidence that the counterparty faces serious financial difficulties and the Group cannot reasonably expect to recover the amount, for example, the counterparty is in liquidation, the Group considers that the counterparty has signs of default.
- v. The Group wrote-off the financial assets, which cannot be reasonably expected to be recovered, after initiating recourse procedures. However, the Group will continue executing the recourse procedures to secure their rights.

- vi. The Group applies the modified approach using a provision matrix to estimate expected credit loss under the provision matrix basis. Based on the Group's historical experience, there is no significant difference in the loss patterns among different customer groups. The provision matrix does not further differentiate customer groups, and only sets the expected credit loss rate based on the number of days overdue for receivable, except for individual cases that need to be evaluated separately.
- vii. The Group used the forecastability to adjust historical and timely information to assess the default possibility of accounts receivable. On September 30, 2024, December 31, 2023 and September 30, 2023, the provision matrix is as follows:

<u>September 30, 2024</u>	<u>Expected loss rate</u>	<u>Total book value</u>	<u>Loss allowance</u>
Not past due	0%	\$ 1,074,590	\$ -
Up to 90 days	0%	22,373	-
Over 91 days	100%	<u>11,112</u>	<u>11,112</u>
		<u>\$ 1,108,075</u>	<u>\$ 11,112</u>
<u>December 31, 2023</u>	<u>Expected loss rate</u>	<u>Total book value</u>	<u>Loss allowance</u>
Not past due	0%	\$ 1,087,415	\$ -
Up to 90 days	0%	44,351	-
Over 91 days	100%	<u>578</u>	<u>578</u>
		<u>\$ 1,132,344</u>	<u>\$ 578</u>
<u>September 30, 2023</u>	<u>Expected loss rate</u>	<u>Total book value</u>	<u>Loss allowance</u>
Not past due	0%	\$ 1,225,942	\$ -
Up to 90 days	0%	34,436	-
Over 91 days	100%	<u>675</u>	<u>675</u>
		<u>\$ 1,261,053</u>	<u>\$ 675</u>

viii. Movements in relation to the Group applying the modified approach to provide loss allowance for accounts receivable and molds receivable are as follows:

	2024		
	Accounts receivable	Molds receivable	Total
At January 1	\$ 578	\$ 6,007	\$ 6,585
Provision (reversal) of impairment loss	10,510	(4,794)	5,716
Effect of foreign rate exchange	24	241	265
At September 30	<u>\$ 11,112</u>	<u>\$ 1,454</u>	<u>\$ 12,566</u>

	2023		
	Accounts receivable	Molds receivable	Total
At January 1	\$ 1,573	\$ -	\$ 1,573
Reversal of impairment loss	(910)	-	(910)
Effect of foreign rate exchange	12	-	12
At September 30	<u>\$ 675</u>	<u>\$ -</u>	<u>\$ 675</u>

(c) Liquidity risk

- i. Cash flow forecasting is performed in the operating entities of the Group and aggregated by the Group's Corporate Treasury function. The Group's Corporate Treasury function monitors rolling forecasts of the Group's liquidity requirements to ensure it has sufficient cash to meet operational needs while maintaining sufficient headroom on its undrawn committed borrowing facilities at all times so that the Group does not breach borrowing limits or covenants on any of its borrowing facilities. Such forecasting takes into consideration the Group's debt financing plans, covenant compliance, compliance with internal balance sheet ratio targets and external regulatory or legal requirements.
- ii. The Group has the following undrawn borrowing facilities:

	<u>September 30, 2024</u>	<u>December 31, 2023</u>	<u>September 30, 2023</u>
Floating rate:			
Expiring within one year	\$ 1,952,916	\$ 2,196,819	\$ 2,239,331
Expiring beyond one year	-	-	-

- iii. The table below analyses the Group's non-derivative financial liabilities into relevant maturity groupings based on the remaining period at the balance sheet date to the contractual maturity date. The amounts disclosed in the table are the contractual

undiscounted cash flows.

	Less than 1 year	Between 1 and 2 years	Between 2 and 5 years	Over 5 years
<u>September 30, 2024</u>				
<u>Non-derivative financial liabilities</u>				
Short-term borrowings	\$ 50,130	\$ -	\$ -	\$ -
Accounts payable	584,506	-	-	-
Other payables	315,936	-	-	-
Other payables-related parties	388	-	-	-
Lease liabilities	27,067	18,391	4,467	-
Long-term borrowings (including current portion)	54,186	54,186	121,905	-
Guarantee deposits received	1,370	-	-	-
<u>Derivative financial liabilities</u>				
Forward foreign exchange contracts	\$ -	\$ -	\$ -	\$ -
	Less than 1 year	Between 1 and 2 years	Between 2 and 5 years	Over 5 years
<u>December 31, 2023</u>				
<u>Non-derivative financial liabilities</u>				
Short-term borrowings	\$ 45,068	\$ -	\$ -	\$ -
Accounts payable	485,963	-	-	-
Accounts payable-related parties	1,061	-	-	-
Other payables	304,614	-	-	-
Other payables-related parties	219	-	-	-
Lease liabilities	26,816	26,675	3,117	-
Long-term borrowings (including current portion)	54,676	54,625	163,862	-
Guarantee deposits received	1,192	-	-	-
	Less than 1 year	Between 1 and 2 years	Between 2 and 5 years	Over 5 years
<u>September 30, 2023</u>				
<u>Non-derivative financial liabilities</u>				
Short-term borrowings	\$ 45,134	\$ -	\$ -	\$ -
Accounts payable	534,281	-	-	-
Other payables	281,805	-	-	-
Other payables-related parties	391	-	-	-
Lease liabilities	18,123	17,997	7,158	-
Long-term borrowings (including current portion)	174,321	72,704	205,804	13,711
Guarantee deposits received	907	-	-	-

(3) Fair value information

A. The different levels that the inputs to valuation techniques are used to measure fair value of financial and non-financial instruments have been defined as follows:

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities that the entity can access at the measurement date. A market is regarded as active where a market in which transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis. The Group has no related investment.

Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly. The fair value of the Group's investment in derivative instruments is included in Level 2.

Level 3: Unobservable inputs for the asset or liability. The fair value of the Group's investment in equity investment without active market is included in Level 3.

B. Except for those listed in the table below, the carrying amounts of cash and cash equivalents, notes receivable, net, accounts receivable, net (including related parties), finance lease receivable, net, other receivables, guarantee deposits paid, short-term borrowings, accounts payable (including related parties), other payables (including related parties), lease liabilities, long-term borrowings (including current portion), and guarantee deposits received are approximate to their fair values.

C. The related information on financial instruments measured at fair value by level on the basis of the nature, characteristics and risks of the assets and liabilities is as follows:

(a) The related information on the nature of the assets and liabilities is as follows:

<u>September 30, 2024</u>	<u>Level 1</u>	<u>Level 2</u>	<u>Level 3</u>	<u>Total</u>
Assets				
<u>Recurring fair value measurements</u>				
Financial assets at fair value through profit or loss				
Forward foreign exchange contracts	\$ -	\$ 8,185	\$ -	\$ 8,185
Private equity fund	-	-	30,843	30,843
Financial assets at fair value through other comprehensive income				
Equity instruments	-	-	8,665	8,665
	<u>\$ -</u>	<u>\$ 8,185</u>	<u>\$ 39,508</u>	<u>\$ 47,693</u>

<u>December 31, 2023</u>	<u>Level 1</u>	<u>Level 2</u>	<u>Level 3</u>	<u>Total</u>
Assets				
<u>Recurring fair value measurements</u>				
Financial assets at fair value through profit or loss				
Forward foreign exchange contracts	\$ -	\$ 7,870	\$ -	\$ 7,870
Private equity fund	-	-	25,103	25,103
Financial assets at fair value through other comprehensive income				
Equity instruments	-	-	3,070	3,070
	<u>\$ -</u>	<u>\$ 7,870</u>	<u>\$ 28,173</u>	<u>\$ 36,043</u>
<u>September 30, 2023</u>	<u>Level 1</u>	<u>Level 2</u>	<u>Level 3</u>	<u>Total</u>
Assets				
<u>Recurring fair value measurements</u>				
Financial assets at fair value through other comprehensive income				
Private equity fund	\$ -	\$ -	\$ 23,389	\$ 23,389
Financial assets at fair value through other comprehensive income				
Equity instruments	-	-	3,227	3,227
	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 26,616</u>	<u>\$ 26,616</u>
Liabilities				
<u>Recurring fair value measurements</u>				
Financial liabilities at fair value through profit or loss				
Forward foreign exchange contracts	<u>\$ -</u>	<u>\$ 10,397</u>	<u>\$ -</u>	<u>\$ 10,397</u>

(b) The methods and assumptions the Group used to measure fair value are as follows:

- i. Except for financial instruments with active markets, the fair value of other financial instruments is measured by using valuation techniques or by reference to counterparty quotes. The fair value of financial instruments measured by using valuation techniques can be referred to current fair value of instruments with similar terms and characteristics in substance, discounted cash flow method or other valuation methods, including calculated by applying model using market information available at the consolidated balance sheet date.
- ii. When assessing non-standard and low-complexity financial instruments, for example, interest rate swap contracts and foreign exchange swap contracts, the Group adopts valuation technique that is widely used by market participants. The inputs used in the valuation method to measure these financial instruments are normally observable in the

market.

- iii. The valuation of derivative financial instruments is based on valuation model widely accepted by market participants, such as present value techniques and option pricing models. Forward exchange contracts are usually valued based on the current forward exchange rate.
 - iv. The output of valuation model is an estimated value and the valuation technique may not be able to capture all relevant factors of the Group's financial and non-financial instruments. Therefore, the estimated value derived using valuation model is adjusted accordingly with additional inputs, for example, model risk or liquidity risk and etc. In accordance with the Group's management policies and relevant control procedures relating to the valuation models used for fair value measurement, management believes adjustment to valuation is necessary in order to reasonably represent the fair value of financial and non-financial instruments at the consolidated balance sheet. The inputs and pricing information used during valuation are carefully assessed and adjusted based on current market conditions.
- D. For the nine months ended September 30, 2024 and 2023, there was no transfer between Level 1 and Level 2.
- E. The following chart is the movement of Level 3 for the nine months ended September 30, 2024 and 2023:

	Equity instrument	
	2024	2023
At January 1	\$ 28,173	\$ 15,531
Recognized in other comprehensive income	-	7,906
Recognized in profit or loss	(3,260)	1,929
Acquired during the period	14,500	9,000
Disposal during the period	-	(7,906)
Effect of exchange rate changes	95	156
At September 30	<u>\$ 39,508</u>	<u>\$ 26,616</u>

- F. Information relating to transfer out amounting to \$0 from Level 3 for the nine months ended September 30, 2024 and 2023 is provided.
- G. Investing segment is in charge of valuation procedures for fair value measurements being categorised within Level 3, which is to verify independent fair value of financial instruments. Such assessment is to ensure the valuation results are reasonable by applying independent information to make results close to current market conditions, confirming the resource of information is independent, reliable and in line with other resources and represented as the exercisable price, and frequently calibrating valuation model, performing back-testing, updating inputs used to the valuation model and making any other necessary adjustments to the fair value. Investment segment set up valuation policies, valuation processes and rules for measuring fair

value of financial instruments and ensure compliance with the related requirements in IFRS.

H. The following is the qualitative information of significant unobservable inputs and sensitivity analysis of changes in significant unobservable inputs to valuation model used in Level 3 fair value measurement:

	<u>September 30, 2024</u>	<u>Valuation technique</u>	<u>Significant unobservable input</u>	<u>Range (weighted average)</u>	<u>Relationship of inputs to fair value</u>
Non-derivative equity instrument:					
Unlisted shares	\$ 8,665	Market comparable companies	Price to earnings ratio multiple, discount for lack of marketability	Not applicable	The higher the multiple, the higher the fair value; the higher the discount for lack of marketability, the lower the fair value.
Private equity fund	30,843	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.
	<u>December 31, 2023</u>	<u>Valuation technique</u>	<u>Significant unobservable input</u>	<u>Range (weighted average)</u>	<u>Relationship of inputs to fair value</u>
Non-derivative equity instrument:					
Unlisted shares	\$ 3,070	Market comparable companies	Price to earnings ratio multiple, discount for lack of marketability	Not applicable	The higher the multiple, the higher the fair value; the higher the discount for lack of marketability, the lower the fair value.
Private equity fund	25,103	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.

	<u>September 30, 2023</u>	<u>Valuation technique</u>	<u>Significant unobservable input</u>	<u>Range (weighted average)</u>	<u>Relationship of inputs to fair value</u>
Non-derivative equity instrument:					
Unlisted shares	\$ 3,227	Market comparable companies	Price to earnings ratio multiple, discount for lack of marketability	Not applicable	The higher the multiple, the higher the fair value; the higher the discount for lack of marketability, the lower the fair value.
Private equity fund	23,389	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.

13. Supplementary Disclosures

(1) Significant transactions information

- A. Loans to others: Refer to table 1.
- B. Provision of endorsements and guarantees to others: Refer to table 2.
- C. Holding of marketable securities at the end of the period (not including subsidiaries, associates and joint ventures): Refer to table 3.
- D. Acquisition or sale of the same security with the accumulated cost exceeding \$300 million or 20% of the Company's paid-in capital: None.
- E. Acquisition of real estate reaching \$300 million or 20% of paid-in capital or more: None.
- F. Disposal of real estate reaching \$300 million or 20% of paid-in capital or more: None.
- G. Purchases or sales of goods from or to related parties reaching \$100 million or 20% of paid-in capital or more: None.
- H. Receivables from related parties reaching \$100 million or 20% of paid-in capital or more: None.
- I. Trading in derivative instruments undertaken during the reporting periods: Refer to Notes 6(2), 6(24) and 12(2).
- J. Significant inter-company transactions during the reporting period: None.

(2) Information on investees

Names, locations and other information of investee companies (not including investees in Mainland China): Refer to table 4.

(3) Information on investments in Mainland China

- A. Basic information: Refer to table 5.
- B. Significant transactions, either directly or indirectly through a third area, with investee companies in the Mainland Area: None.

(4) Major shareholders information

Major shareholders information: Refer to table 6.

14. Segment Information

(1) General information

A. Management has determined the reportable operating segments based on the reports reviewed by Board of Directors that are used to make strategic decisions.

B. There is no material change in the basis for formation of entities and division of segments in the Group or in the measurement basis for segment information during this period.

(2) Information about segment profit or loss, assets and liabilities

The segment information provided to the chief operating decision-maker for the reportable segments is as follows:

<u>Three months ended September 30, 2024</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Revenue from external customers	\$ 301,148	\$ 550,657	\$ 851,805
Inter-segment revenue (Note)	50	15,086	15,136
Total segment revenue	<u>\$ 301,198</u>	<u>\$ 565,743</u>	<u>\$ 866,941</u>
Segment (loss) income	(\$ 54,011)	\$ 9,610	(\$ 44,401)

<u>Three months ended September 30, 2023</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Revenue from external customers	\$ 304,731	\$ 561,160	\$ 865,891
Inter-segment revenue (Note)	5,017	9,393	14,410
Total segment revenue	<u>\$ 309,748</u>	<u>\$ 570,553</u>	<u>\$ 880,301</u>
Segment (loss) income	(\$ 27,914)	\$ 65,345	\$ 37,431

<u>Nine months ended September 30, 2024</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Revenue from external customers	\$ 806,696	\$ 1,594,539	\$ 2,401,235
Inter-segment revenue (Note)	4,129	33,034	37,163
Total segment revenue	<u>\$ 810,825</u>	<u>\$ 1,627,573</u>	<u>\$ 2,438,398</u>
Segment (loss) income	(\$ 162,617)	\$ 76,324	(\$ 86,293)

<u>Nine months ended September 30, 2023</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Revenue from external customers	\$ 822,316	\$ 1,589,412	\$ 2,411,728
Inter-segment revenue (Note)	7,292	17,511	24,803
Total segment revenue	<u>\$ 829,608</u>	<u>\$ 1,606,923</u>	<u>\$ 2,436,531</u>
Segment (loss) income	(\$ 138,494)	\$ 212,200	\$ 73,706

Note: Sales between segments are carried out at arm's length.

(3) Reconciliation for segment income (loss)

- A. The revenue from external customers reported to the chief operating decision-maker is measured in a manner consistent with that in the statement of comprehensive income.
- B. A reconciliation of reportable segment income or loss to the income (loss) before tax from continuing operations for the three months and nine months ended September 30, 2024 and 2023 is provided as follows:

	<u>Three months ended September 30,</u>	
	<u>2024</u>	<u>2023</u>
Reportable segments gain (loss)	(\$ 44,401)	\$ 37,431
Total non-operating income and expenses	<u>1,132</u>	<u>17,131</u>
Gain (loss) income before tax from continuing operations	<u>(\$ 43,269)</u>	<u>\$ 54,562</u>
	<u>Nine months ended September 30,</u>	
	<u>2024</u>	<u>2023</u>
Reportable segments gain (loss)	(\$ 86,293)	\$ 73,706
Total non-operating income and expenses	<u>20,951</u>	<u>29,479</u>
Gain (loss) income before tax from continuing operations	<u>(\$ 65,342)</u>	<u>\$ 103,185</u>

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES

Loans to others

Nine months ended September 30, 2024

Table 1

Expressed in thousands of NTD

(Except as otherwise indicated)

No.				Is a	Maximum	Ending Balance	Actual amount	Interest	Nature of	Amount of	Reason	Allowance	Collateral		Limit on loans	Ceiling on	
(Note 1)	Creditor	Borrower	General ledger account	party	for the Period	(Note 2)	drawn down	rate	loan	transactions with the borrower	for short-term financing	for doubtful accounts	Item	Value	(Note 1)	(Note 1)	Footnote
0	The Company	eBio Technology	Other receivables - related parties	Yes	\$ 50,000	\$ 50,000	\$ 20,000	2.515%	2	\$ -	Operating cycle	\$ -	Promissory note	\$ 50,000	\$ 526,751	\$ 1,053,502	

Note 1: According to the parent company's "Management policies on financing provided to Others "

(1) For individual companies, the loan shall not exceed 20% of the net value of the lender's most recent financial statements.

(2) The total amount of loan and loan shall not exceed 40% of the net value of the latest financial statement of the lender.

Note 2: Pursuant to paragraph 2 of article 14 in Regulations Governing Loaning of Funds and Making of Endorsements/Guarantees by Public Companies, loans of funds between the public company and its related parties shall be submitted for a resolution by the board of directors, and the chairman may be authorised, within a certain monetary limit resolved by the board of directors, and within a period not to exceed one year, to give loans in installments or to make a revolving credit line available for the counterparty to draw down. Such loan monetary limit is disclosed herein.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES

Endorsements/Guarantees provided

Nine months ended September 30, 2024

Table 2

Expressed in thousands of NTD

(Except as otherwise indicated)

No.	Endorser/Guar	Endorsee/Guarantee		Limit on Endorsement/ Guarantee Given on Behalf of Each Party (Note 2)	Maximum Amount Endorsed/ Guaranteed During the Period	Outstanding Endorsement/ Guarantee at the End of the Period	Actual Amount Borrowed	Amount Endorsed/ Guaranteed by Collateral	Ratio of Accumulated Endorsement/Guarantee to Net Equity in Latest Financial Statements (%)	Aggregate Endorsement/ Guarantee Limit (Note 2)	Endorsement/ Guarantee Given by Parent on Behalf of Subsidiaries	Endorsement/ Guarantee Given by Subsidiaries on Behalf of Parent	Endorsement/ Guarantee Given on Behalf of Companies in Mainland China	Footnote
		Name	Relationship (Note 1)											
0	The Company	eBio Technology	1	\$ 1,316,877	\$ 20,000	\$ 20,000	\$ -	None	0.76%	\$ 2,633,754	Y	N	N	

Note 1: The Company owns directly more than 50% voting shares of the endorsed/ guaranteed subsidiary.

Note 2: The relevant regulations for "endorsements/guarantees limit" of the Company are as follows:

(1)The endorsement and guarantee limit for a single enterprise, except for subsidiaries in which the Company directly or indirectly holds more than 50% of the common stock, shall not exceed 50% of the net worth.

For other cases, it shall not exceed 10% of the net worth.

(2)The total amount of endorsements and guarantees provided by the Company to external parties shall not exceed 100% of the net worth.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
Holding of marketable securities at the end of the period (not including subsidiaries, associates and joint ventures)
September 30, 2024

Table 3

Expressed in thousands of NTD / foreign currency / shares
(Except as otherwise indicated)

Securities held by	Marketable securities	Relationship with the securities issuer	General ledger account	As of September 30, 2024				
				Number of shares	Book value	Ownership	Fair value	Footnote
The Company	Private equity fund	-	Financial assets at fair value through profit or loss- non-current	-	\$ 30,843	3%	\$ 30,843	
The Company	Ordinary shares of Y Company	-	Financial assets at fair value through other comprehensive income- non-current	300	3,000	13.04%	3,000	
The Company	Ordinary shares of B Company	-	Financial assets at fair value through other comprehensive income- non-current	250	2,500	16.67%	2,500	
JOCHU BVI	Preferred shares of W Company	-	Financial assets at fair value through other comprehensive income- non-current	61	3,165	-	3,165	USD 100
JOCHU BVI	Preferred shares of PIH	Subsidiary	Financial assets at fair value through other comprehensive income- non-current	30	950	-	950	USD 30

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
Information on investees
Nine months ended September 30, 2024

Table 4

Expressed in thousands of NTD / shares
(Except as otherwise indicated)

Investor	Investee	Location	Main business activities	Initial investment amount		Shares held as at September 30, 2024			Net profit (loss) of the investee for the years ended September 30, 2024	Investment income (loss) recognised by the Company for the years ended September 30, 2024	Footnote
				Balance as at September 30, 2024	Balance as at December 31, 2023	Ownership					
						Number of shares	(%)	Book value			
The Company	JOCHU BVI	British Virgin Islands	Investment holding	\$ 1,149,099	\$ 1,149,099	36,564	100%	\$ 1,770,213	\$ 56,712	\$ 58,368	
The Company	LEGIUN	Taiwan	Sales of medical devices	80,000	80,000	8,000	100%	33,668 (	5,416) (	5,450)	
The Company	eBIO INTERNATIONAL CO., LTD.	Taiwan	Investment holding	71,114	71,114	6,331	52.02%	48,303 (	16,290) (	9,222)	
JOCHU BVI	JOCHU GLOBAL	Cayman Islands	Investment holding	328,912	328,912	10,000	100%	398,690	29,100	29,100	
JOCHU BVI	PIH	Singapore	Investment holding	496,256	496,256	16,348	65%	429,845 (	37,600) (	24,440)	
JOCHU GLOBAL	JOCHU INTERNATIONAL	Cayman Islands	Investment holding	328,912	328,912	10,000	100%	398,690	29,100	29,100	
PIH	JOCHU VIETNAM	Vietnam	Production and sales of optoelectronic components, stamping molds, and related international trading business	758,383	758,383	Not applicable	100%	659,572 (	37,209) (	37,209)	
eBIO INTERNATIONAL CO., LTD.	eBIO TECHNOLOGY INC.	Taiwan	Research and development, manufacturing of medical electronic devices, biomedical sensors, and integrated device solutions	71,071	71,071	11,971	100% (	10,908) (	16,123) (	16,123)	

Table 4

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
Information on investments in Mainland China
Nine months ended September 30, 2024

Table 5

Expressed in thousands of NTD / foreign currency
(Except as otherwise indicated)

Investee in Mainland China	Main business activities	Paid-in capital	Investment method (Note 1)	Accumulated amount of remittance from Taiwan to Mainland China as of January 1, 2024	Amount remitted from Taiwan to Mainland China/ Amount remitted back to Taiwan for the year ended September 30, 2024	Accumulated amount of remittance from Taiwan to Mainland China as of September 30, 2024	Net income of investee for the year ended September 30, 2024	Ownership held by the Company (direct or indirect)	Investment income (loss) recognised by the Company for the year ended September 30, 2024 (Note 2)	Book value of investments in Mainland China as of September 30, 2024	Accumulated amount of investment income remitted back to Taiwan as of September 30, 2024	Footnote
SUZHOU JOCHU	Production and sales of optoelectronic components, stamping molds, and related international trading business	\$ 569,170	Note 1(2)1	\$ 367,541	\$ - \$ -	\$ 367,541	\$ 52,132	100%	\$ 52,132	\$ 940,838	\$ 1,824,991	Note 2(2)B
XIAMEN JOCHU	Production and sales of optoelectronic components, stamping molds, and related international trading business	451,775	Note 1(2)2	328,912	- -	328,912	43,647	100%	43,647	597,996	663,837	Note 2(2)B

Company name	Accumulated Outward Remittance for Investments in Mainland China as of September 30, 2024	Investment Amount Authorised by the Investment Commission, MOEA	Upper Limit on the Amount of Investments Stipulated by the Investment Commission, MOEA (Note 3)
The Company	\$ 696,453 (USD21,500)	\$ 862,275 (USD28,801)	\$ 1,720,813

Note 1: Investment methods are classified into the following three categories; fill in the number of category each case belongs to:
(1) Directly invest in a company in Mainland China.
(2) Through investing in an existing company in the third area, which then invested in the investee in Mainland China.
A. Invested through Jochu Investment Ltd.
B. Invested 66.67% by Jochu International (Cayman) Ltd. and 33.33% by Suzhou Zhou Qiao Precision Metal Co., Ltd., totaling 100%.
(3) Others

Note 2: In the ‘Investment income (loss) recognised by the Company for the year ended December 31,2024’ column:
(1) It should be indicated if the investee was still in the incorporation arrangements and has not yet generated any profit during this period.
(2) Indicate the basis for investment income (loss) recognition in the number of one of the following three categories:
A.The financial statements were audited by international accounting firm which has cooperative relationship with accounting firm in R.O.C.
B.The financial statements were audited by R.O.C. parent company’s CPA.
C.Others.

Note 3: According to the new regulations issued by the Investment Review Committee of the Ministry of Economic Affairs in August 2009,
the calculation method of the investment limit for the mainland area is the net value or 60% of the combined net value, whichever is higher.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES

Major shareholders information
September 30, 2024

Table 6

Name of major shareholders	Shares		Ownership (%)
	Number of shares held (Ordinary share)	Number of shares held (preferred share)	
Heng Xing Investment Co., Ltd.	9,124,000	-	10.22%

Note 1: The information of major shareholders presented in this table is provided by the Taiwan Depository & Clearing Corporation based on the number of ordinary shares and preferred shares held by shareholders with ownership of 5% or greater, that have been issued without physical registration (included treasury shares) by the Group as of the last business day for the current quarter.

The share capital in the consolidated financial statements may differ from the actual number of shares that have been issued without physical registration because of different preparation basis.

Note 2: If a shareholder delivers their shareholdings to the trust, the above information will be disclosed by the individual trustee who opened the trust account. For shareholders who declare insider shareholdings with ownership greater than 10% in accordance with Securities and Exchange Act, the shareholdings include shares held by shareholders and those delivered to the trust over which shareholders have rights to determine the use of trust property. For information relating to insider shareholding declaration, refer to Market Observation Post System.

Note 3: The principle of preparation of this table is to calculate the distribution of the balance of each credit transaction with reference to the roster of securities owners whose transfer has been suspended by the shareholders' temporary meeting (the securities lending will not be replenished).

Note 4: Shareholding rate (%) = Number of shares held / Total number of shares that have been issued without physical registration.

Note 5: Total number of shares that have been issued without physical registration (including treasury shares) is 89,263,150 shares = 89,263,150 (Ordinary share)+ 0 (Preferred share).